Arm Holdings plc (NASDAQ: ARM)

1. Header and dated snapshot

Arm Holdings plc (NASDAQ: ARM). Framework 8.0 review. Published November 5, 2026; financial evidence through November 4. Coverage only / NOT HELD: no position is recorded in the verified portfolio. Classification: BENEFICIARY / Watchlist. Analytical Base 73 and Excel Base 73; raw score 44/60.

The dated November 4 closing price is USD 191.80. The selected Q4 2027 calculated ceiling is USD 61.91. The valuation retains 25 times current-plus-next-three-quarter GAAP-style operating profit divided by total diluted ordinary-equivalent shares in the starting quarter. Ordinary employee compensation and related employer taxes remain in operating profit.

2. Dated investment snapshot

Units: USD millions unless labeled.

The indicative equity value combines the rounded September 30 ordinary-share count with the November 4 close of USD 191.80 per ADS. One ADS represents one ordinary share. Forecast diluted claims use the separately modeled quarterly share schedule.

Measure	Value
Coverage	NOT HELD / coverage only
Classification	BENEFICIARY / Watchlist
Ordinary shares at September 30, 2026	Approximately 1,070 million; reported rounded
Indicative equity market capitalization	USD 205,226 million (approximately USD 205.2 billion)
November 4 closing price	USD 191.80
Active horizon	Q4 2027
Calculated ceiling	USD 61.91
Raw score / Analytical / Excel	44/60 /73 /73
Method	25x GAAP-style forward OP / starting diluted claims

3. Pre-analysis and company classification

Arm combines an established processor-IP franchise with a new direct processor business. Its architecture, software compatibility and customer engineering investment support the IP business. Merchant silicon adds exposure to manufacturing, inventory, customer acceptance and direct product competition.

The pre-analysis treats licensing and royalties as established revenue mechanisms. The AGI CPU is in its first commercial delivery phase. Evidence for product capability, purchase commitments, supplier readiness and accepted deliveries enters the model at the stage it supports.

4. Business and revenue architecture

License and other revenue includes access to IP, engineering and consulting services. Royalty revenue depends on licensed customers shipping eligible chips and reporting those shipments. The merchant business sells complete processor packages and recognizes its own product invoice. The same workload can involve a licensed processor, a merchant processor and surrounding system suppliers.

The forecast separates data-center, physical-AI and edge royalty estimates, license and consulting revenue, and merchant processor sales. The agency arrangement has its own gross cash settlement ledger. These boundaries prevent the same customer spending from entering several revenue lines.

5. Source exhibit: AGI product

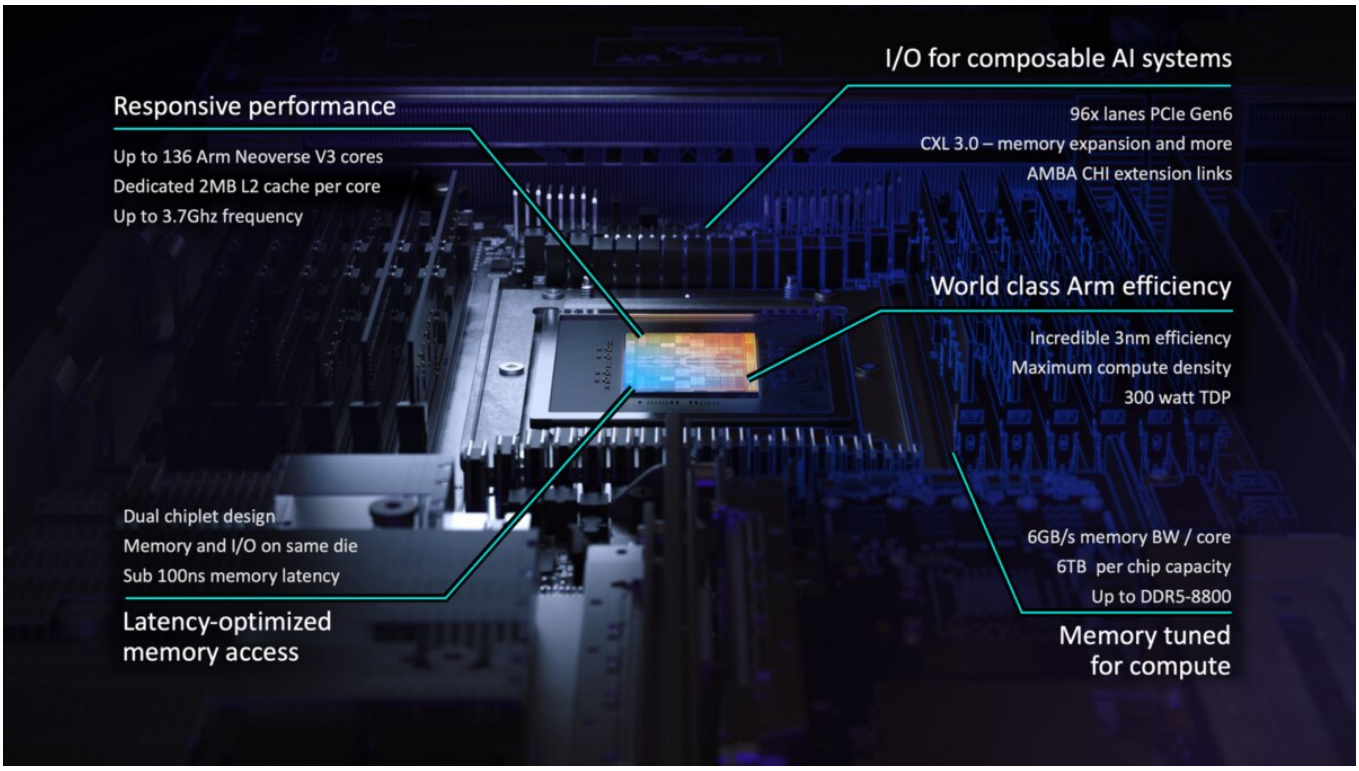


Figure 1. Arm AGI CPU product exhibit, March 24, 2026. The package specification describes product capability; accepted units and selling prices are separately modeled. Source: https://newsroom.arm.com/blog/introducing-arm-agi-cpu

6. TAM and adjacent-market lens

Data centers offer Arm a larger processor-content opportunity through Neoverse, Compute Subsystems, custom designs and direct processors. Inference orchestration, accelerator-host work and cloud-native services expand CPU demand even when accelerators execute the dominant matrix workload. Physical AI and edge applications extend the architecture into vehicles, industrial devices and consumer systems.

The addressable unit varies by invoice: licensed chip, processor package, software service or complete system. Rack-level spending and benchmark gains cannot be multiplied directly into Arm revenue. The forecast uses one royalty growth path and one merchant program; v9, CSS and hyperscaler adoption provide evidence for those paths.

7. Scoring that sums

The score was selected before the financial model was valued. The franchise earns strong core and addressable-market scores; the limited information advantage and five identified risks constrain the total. The current score retains cycle 9 because the new call strengthens order and supplier confidence as the first shipment window approaches.

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

8. Framework category evidence

Units: Score points.

Category	Points	Reason
Core thesis	17	Broad licensed architecture, software compatibility and customer design investments create durable switching costs. Merchant silicon adds manufacturing exposure and competitive tension with licensees.
Cycle stage	9	The first merchant shipment period remains January-March 2027, matching the prior review. Purchase orders and supply agreements strengthen confidence while IP adoption continues. Existing supply and acceptance risk remains in the distinct risk deduction.
TAM expansion	10	Data-center IP, CSS, physical AI and merchant CPUs expand the addressable wallet. Each opportunity requires a distinct revenue perimeter; the agency procurement transaction has undisclosed product identity and fee economics.
Catalysts	4	Initial merchant shipments, 2027 customer deployments, recovery in edge royalties and the next product update can test the thesis within 6-18 months.
Macro	8	AI compute demand and processor efficiency support adoption. Memory costs, customer capital budgets and export restrictions can affect timing.
Alpha	1	Arm and its merchant opportunity are widely followed. Filing-level differences in agency revenue, advance recovery and compensation provide a specific analytical task with limited information scarcity.
Risks	-5	Five classes: supply and acceptance; product execution and licensee competition; compensation, accounting and funding; related-party concentration and control; policy and litigation.
Total	44	Maximum 60; analytical and ExcelBase 73.

9. Five risk classes

Five risk classes receive the score deduction: supply and acceptance; product execution and licensee competition; compensation, accounting and funding; related-party concentration and control; and policy and litigation.

The scenario tree directly addresses delivery and royalty outcomes. Other risks remain in operating, cash, share and tax assumptions and in the sensitivity suite. A scenario probability does not remove the need to test working capital or employee funding.

10. Latest actuals and guidance

The November 4 results cover fiscal Q2 2027, ended September 30, 2026. Fiscal Q3 2027 is calendar Q4 2026. The latest actuals include no merchant sales. Source non-GAAP operating profit excludes ordinary stock compensation, net employer taxes and acquisition items; the selected valuation includes recurring employee costs.

The current-quarter revenue reference is USD 1,540 million, within the issuer's USD 1,490-1,590 million range. The model first reconciles the issuer's USD 825 million non-GAAP operating expense guide, then adds the finite compensation and employer-tax schedules to obtain GAAP-style operating profit.

11. Latest actual results: quarter ended September 30

Units: USD millions unless labeled.

Item	GAAP	Company non-GAAP
Revenue	1,443.000	1,443.000
Gross profit	1,401.000	1,412.000
R&D	857.000	547.000
SG&A	343.000	227.000
Operating profit	201.000	638.000
Pretax	208.000	665.000
Tax	78.000	99.000
Net income	130.000	566.000
Diluted EPS USD	0.120	0.520

12. Current guidance normalization

681.12 minus ordinary SBC and net employer taxes reconciles to the selected current OP. Ordinary asset amortization is already in the reference costs.

Units: USD millions unless labeled.

Component	USD millions
Revenue reference	1,540.000
Pre-ordinary-compensation GP at97.8%	1,506.120
Company non-GAAP opex	825.000
Pre-ordinary-compensation OP	681.120
Ordinary SBC	682.625
Net employer taxes	90.339
GAAP-style operating profit	-91.845

13. September 30 actual balance anchors

Units: USD millions unless labeled.

Item	USD millions
cash	3,251.000
short term investments	370.000
AR net	1,086.000
AR related parties	285.000
current contract assets	1,014.000
current contract assets related	617.000
prepaid and other current	457.000
RD tax credit receivable	130.000
prepayments	220.000
other receivables	107.000
PPE net	941.000

Item	USD millions
operating ROU	420.000
finance ROU	56.000
equity investments	599.000
goodwill	1,715.000
intangibles net	385.000
DTA	410.000
noncurrent contract assets	436.000
other noncurrent assets	274.000
total assets	11,414.000
current accrued comp	142.000
tax liabilities	114.000
current contract liabilities	195.000
current operating lease liabilities	45.000
other current liabilities	477.000
employee payroll taxes payables	185.000
accrued expenses fees	170.000
EDA liabilities	46.000
trade payables	56.000
current finance lease liabilities	20.000
noncurrent accrued comp	33.000
DTL	70.000
noncurrent contract liabilities	680.000
noncurrent operating lease liabilities	435.000
other noncurrent liabilities	135.000
total liabilities	2,326.000
shareholders equity	9,088.000
ordinary shares authorized rounded	1,111.000

14. Latest-quarter source cash flow

Units: USD millions unless labeled.

Item	USD millions
OCF	207.000
DA	81.000
depreciation	55.000
amortization	26.000
deferred tax adjustment	42.000
equity investment loss adjustment	20.000
SBC	376.000
operating lease expense adjustment	16.000
other noncash	3.000
AR change	33.000
contract assets change	-203.000

Item	USD millions
prepaid other assets change	-14.000
accrued comp change	-15.000
contract liabilities change	-64.000
tax liabilities change	-35.000
operating lease liabilities change	-14.000
other liabilities change	-149.000
cash PPE	72.000
cash intangibles	5.000
cash intangible obligations financing	20.000
reported FCF	110.000
investment purchases	50.000
investment maturities	510.000
equity investment purchases	31.000
acquisition net cash	249.000
investing total	103.000
ESPP proceeds	40.000
employee withholding cash	129.000
other financing	-4.000
financing total	-113.000
FX cash	-4.000
cash opening	3,058.000
cash closing	3,251.000

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

15. Source exhibit: FY27Q1 actuals



Figure 2. Published July 29 results for fiscal Q1 2027. This historical source uses its own GAAP and non-GAAP definitions. Source: https://www.sec.gov/Archives/edgar/data/1973239/000197323926000113/exhibit 992 fye 27q130-junx 26.htm

16. Royalty end markets and rate visibility

The issuer reports total royalty dollars. The forecast's data-center, physical-AI and edge split is an estimated allocation. The current-quarter split of USD 210 million, USD 70 million and USD 470 million sums to the USD 750 million royalty reference.

Rate coverage improves visibility into the price charged on an eligible chip. Actual royalty dollars still depend on customer mix, chip shipments and reporting timing. The model does not add an independent v9, CSS or market-share multiplier to its royalty curve.

17. Source exhibit: royalty rate visibility

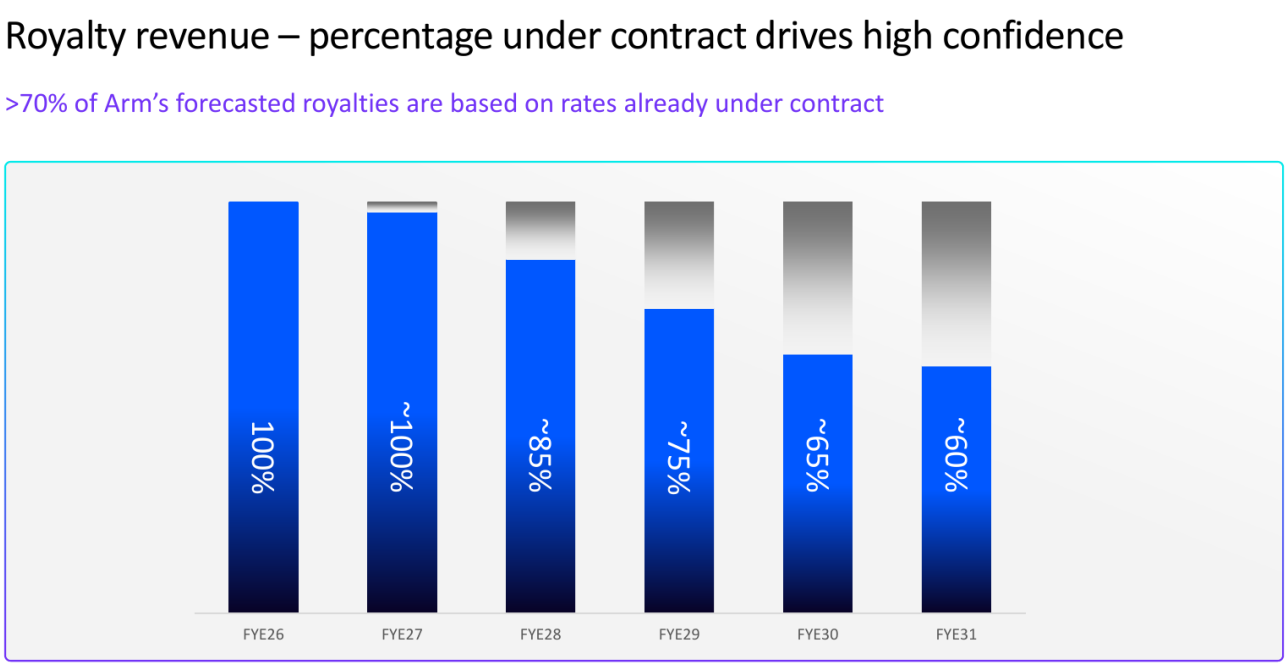


Figure 3. Management royalty-rate coverage forecast, March 30, 2026. Rate visibility and shipped-chip volumes are separate inputs to royalty dollars. Source: https://group.softbank/media/Project/sbg/sbg/pdf/ir/presentations/2025/arm 20260330_en.pdf

18. Neoverse and agentic architecture

Neoverse and CSS reduce portions of customers' processor design work while allowing differentiated implementations. Software compatibility, server operating systems and developer adoption influence commercial conversion. Arm's own AGI CPU expands the product offering and also creates potential competition with licensees.

Dedicated agentic CPUs, accelerator hosts and cloud-native services are overlapping deployment categories. The architecture exhibit explains the workload roles. Customer identity and invoice scope determine whether a deployment earns IP revenue, merchant revenue or both through separate products.

19. Source exhibit: agentic architecture

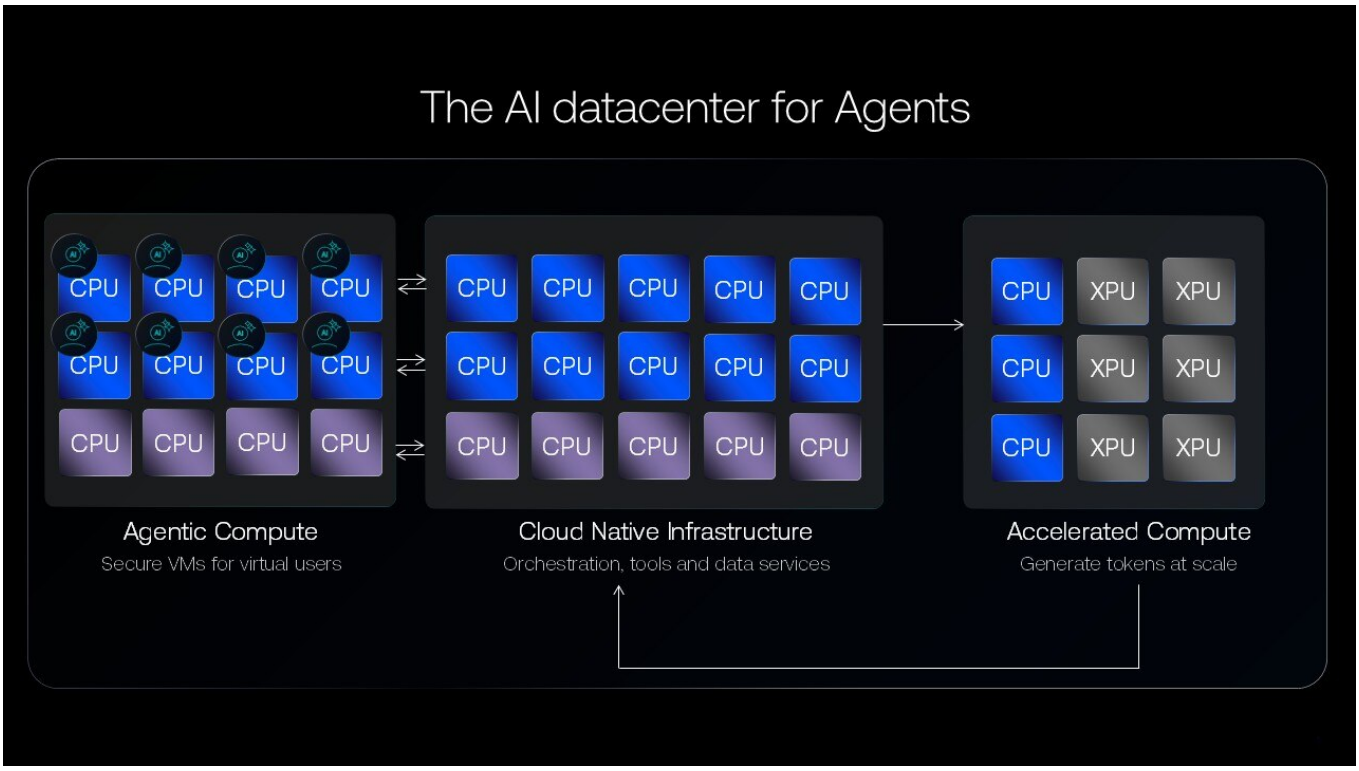


Figure 4. Arm agentic architecture exhibit, October 13, 2026. The workload categories have overlapping customers and deployments. Source: https://newsroom.arm.com/news/arm-agi-cpu-agentic-benchmarks

20. Benchmark scope and competitors

The October 13 benchmark material summarizes Arm-commissioned Signal 65 work. It combines measured silicon/server workloads with rack and rated-power assumptions. Workload, software, memory, system configuration and early-hardware status affect the comparison.

The report retains the original engineering evidence and its date. Benchmark ratios inform adoption reasoning; the selected financial model uses separately stated package prices, costs and accepted units. AMD, Intel, customer-designed Arm processors and alternative custom silicon remain relevant competitive choices.

21. Source exhibit: commissioned benchmark

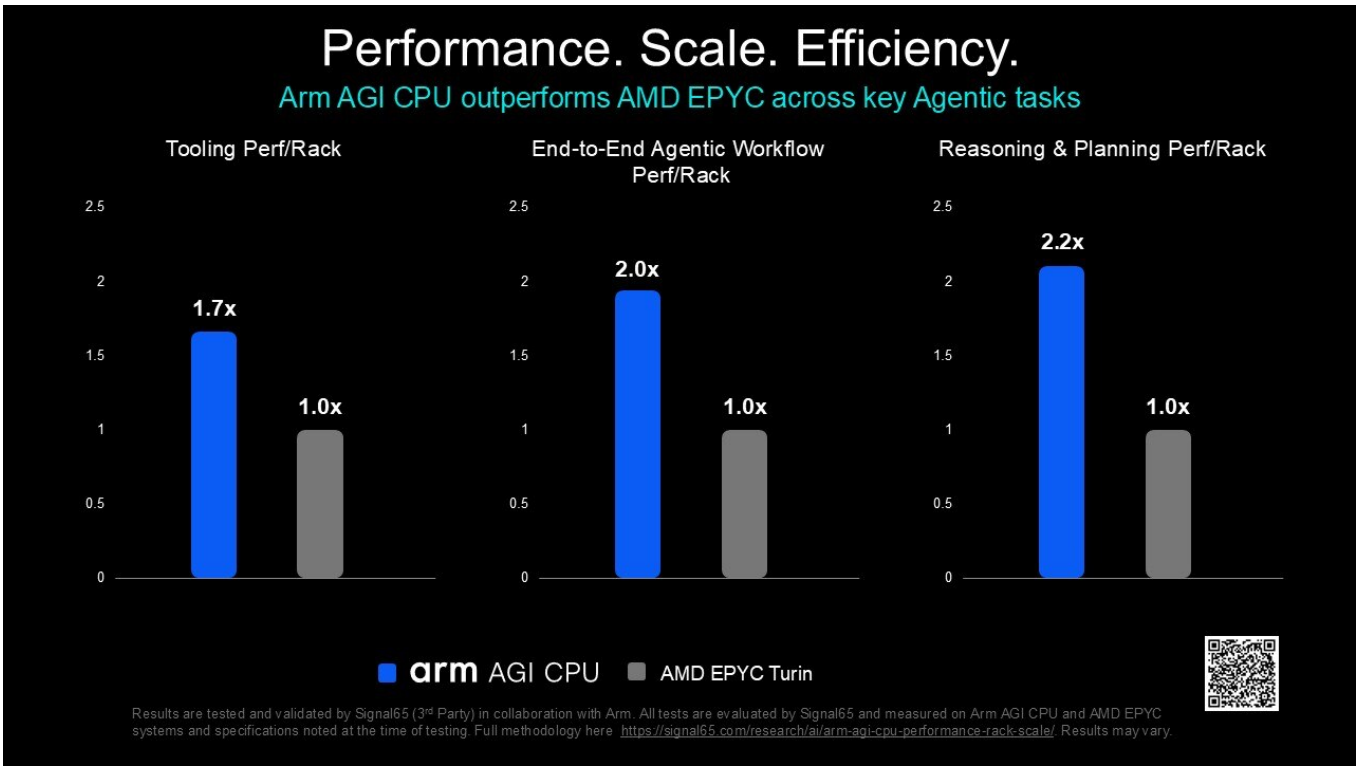


Figure 5. Arm-commissioned Signal 65 comparison, October 13, 2026. Measured workload and server results are extended through configuration and rated-power assumptions; performance varies by workload and software. Source: https://newsroom.arm.com/news/arm-agi-cpu-agentic-benchmarks

22. Merchant AGI product and customer acceptance

The issuer's March 24 AGI product exhibit specifies up to 136 Neoverse V3 cores, 3 nm manufacturing, 300 W rated TDP, DDR 5 and PCIe 6/CXL. The July call described a 128-core configuration. The record preserves this as a variant or configuration uncertainty; the financial unit is one complete processor package.

System displays and OEM integration support a route to customer acceptance. First commercial delivery remains expected in January-March 2027. Supplier procurement, system validation and accepted customer delivery are separate milestones.

23. Source exhibit: OCP system



Figure 6. Arm account of an AGI CPU system displayed at OCP, October 15, 2026. System integration supports the customer-validation path. Source: https://newsroom.arm.com/blog/key-takeaways-from-ocp-global-summit-2026

24. Orders, supply and the up-to2B opportunity

Management increased confidence in up to USD 2 billion of cumulative merchant revenue across fiscal 2027 and fiscal 2028, supported by purchase orders and supply agreements. The exact booked, irrevocable order amount and contract cancellation terms are undisclosed.

The reference allocates that USD 2 billion through March 2028. The following fiscal-year references are USD 2 billion and USD 5 billion. These amounts enter one merchant curve. The later USD 15 billion fiscal 2031 aspiration is a conditional branch with an explicit period outside the displayed horizon.

25. Merchant volume, price and mix mechanism

The model uses estimated processor prices of USD 5,000 for generation 1 and USD 6,500 for generation 2. The unsurcharged full-cost margins are 38% and 50%, implying reference full unit costs of USD 3,100 and USD 3,250. Generation 2 starts with two cost surcharges that imply 45% and 47.5% full-cost margins before the 50% reference. Actual processor prices and vendor bills are undisclosed.

Generation mix is a unit mix. Delayed cohorts preserve their generation and original cost. The first two generation-2 quarters carry the selected start-up cost surcharge. Price sensitivities hold dollar unit costs fixed, allowing the price effect to be inspected directly.

26. Selected processor-price and cost references

D&A allocation is removed from these full unit costs to seed cash cost and re-added once through the actual asset schedule.

Units: USD per processor; margin percent.

Input	Generation 1	Generation 2
Price USD per package	5,000.000	6,500.000
Full reference cost USD	3,100.000	3,250.000
Full reference margin %	38.000	50.000

27. Reference package demand and delivery cap

Units: Individual complete processor packages.

Calendar quarter	G1 reference units	G2 reference units	Delivery cap units	Expected backlog units
Q4 2026	0.000	0.000	0.000	0.000
Q1 2027	20,000.000	0.000	23,000.000	7,800.000
Q2 2027	50,000.000	0.000	57,500.000	21,300.000
Q3 2027	80,000.000	0.000	92,000.000	35,700.000
Q4 2027	110,000.000	0.000	126,500.000	50,100.000
Q1 2028	140,000.000	0.000	161,000.000	64,500.000
Q2 2028	90,000.000	0.000	103,500.000	58,650.000
Q3 2028	69,767.442	23,255.814	106,976.744	52,138.372
Q4 2028	43,478.261	43,478.261	100,000.000	46,051.416
Q1 2029	22,448.980	67,346.939	103,265.306	42,846.495
Q2 2029	0.000	153,846.154	176,923.077	68,081.633
Q3 2029	0.000	184,615.385	212,307.692	85,846.154
Q4 2029	0.000	200,000.000	230,000.000	94,615.385
Q1 2030	0.000	230,769.231	265,384.615	108,000.000
Q2 2030	0.000	461,538.462	530,769.231	122,423.077
Q3 2030	0.000	538,461.538	619,230.769	129,000.000
Q4 2030	0.000	615,384.615	707,692.308	137,307.692

28. Production, inventory and acceptance

The capacity vector equals 115% of reference processor units and limits accepted customer deliveries. It is an analyst delivery-allocation proxy. Arm has not published comparable reserved supplier slots or installed factory capacity.

Minimum procurement is separately modeled at 60% of reference units during 2027-2029. Purchased usable packages enter inventory at original cost and can serve later deliveries through FIFO. Backlog release remains within the fixed delivery cap. Shortfall-fee sensitivities show zero extra charge when the modeled minimum has already been purchased.

29. Accepted processor packages by generation

Units: Individual processor packages; probability-weighted accepted units.

Quarter	Generation 1 units	Generation 2 units	Delivery cap units
Q4 2026	0.000	0.000	0.000
Q1 2027	12,000.000	0.000	23,000.000
Q2 2027	36,000.000	0.000	57,500.000
Q3 2027	64,800.000	0.000	92,000.000
Q4 2027	94,500.000	0.000	126,500.000
Q1 2028	124,200.000	0.000	161,000.000
Q2 2028	94,950.000	0.000	103,500.000
Q3 2028	84,651.163	13,953.488	106,976.744
Q4 2028	62,874.166	29,299.747	100,000.000
Q1 2029	32,794.261	59,308.618	103,265.306
Q2 2029	10,647.737	116,424.817	176,923.077
Q3 2029	2,020.408	162,984.301	212,307.692
Q4 2029	0.000	189,230.769	230,000.000
Q1 2030	0.000	215,076.923	265,384.615
Q2 2030	0.000	283,384.615	530,769.231
Q3 2030	0.000	321,923.077	619,230.769
Q4 2030	0.000	350,884.615	707,692.308

30. Generation-specific purchase cost

Units: USD millions unless labeled.

Quarter	Generation 1 purchases	Generation 2 purchases	Total purchases
Q4 2026	0.000	0.000	0.000
Q1 2027	65.260	0.000	65.260
Q2 2027	152.455	0.000	152.455
Q3 2027	235.279	0.000	235.279
Q4 2027	337.940	0.000	337.940
Q1 2028	430.511	0.000	430.511
Q2 2028	229.062	0.000	229.062
Q3 2028	242.040	90.576	332.616
Q4 2028	164.023	139.452	303.475
Q1 2029	59.937	213.339	273.276
Q2 2029	21.070	489.874	510.943
Q3 2029	3.817	581.786	585.603
Q4 2029	0.000	623.911	623.911
Q1 2030	0.000	707.406	707.406
Q2 2030	0.000	1,013.590	1,013.590
Q3 2030	0.000	1,090.489	1,090.489
Q4 2030	0.000	1,174.773	1,174.773

Units: USD millions.

31. Inventory, purchases and accepted cost



Figure 7. Inventory, purchases and accepted cost. Values and units are repeated in the table below.

Calendar quarter	Closing inventory	Merchant purchases	Merchant COGS
Q4 2026	0.000	0.000	0.000
Q1 2027	31.500	65.260	33.760
Q2 2027	78.292	152.455	105.663
Q3 2027	117.966	235.279	195.604
Q4 2027	166.560	337.940	289.346
Q1 2028	213.966	430.511	383.105
Q2 2028	148.044	229.062	294.984
Q3 2028	170.867	332.616	309.793
Q4 2028	180.391	303.475	293.950
Q1 2029	161.470	273.276	292.197
Q2 2029	270.207	510.943	402.207
Q3 2029	331.725	585.603	524.085
Q4 2029	354.689	623.911	600.948
Q1 2030	378.488	707.406	683.607
Q2 2030	486.539	1,013.590	905.539
Q3 2030	542.739	1,090.489	1,034.289
Q4 2030	588.729	1,174.773	1,128.782

32. Joint merchant and royalty outcomes

The near-term merchant outcomes are 60% on time, 30% one quarter late and 10% disrupted. The disrupted state retains 90% of units and includes greater cost pressure with partial price recovery. Generation-2 launch timing moves with those outcomes.

Each near-term state has a conditional far-expansion probability of 50%, 30% or 10%. The resulting six merchant paths cross the 65% management-continuation and 35% lower data-center royalty paths, producing twelve coherent states. The valuation computes each state before probability weighting.

33. Twelve joint outcomes

Units: Weight percent; USD per ordinary-equivalent share.

State	Weight %	Active ceiling USD
on time plateau management continuation	19.500	69.342
on time plateau lower	10.500	52.640
on time far high management continuation	19.500	69.342
on time far high lower	10.500	52.640
one quarter late plateau management continuation	13.650	66.184
one quarter late plateau lower	7.350	49.482
one quarter late far high management continuation	5.850	66.184
one quarter late far high lower	3.150	49.482
disrupted plateau management continuation	5.850	62.903
disrupted plateau lower	3.150	46.202
disrupted far high management continuation	0.650	62.903
disrupted far high lower	0.350	46.202

34. Agency procurement and zero incremental fee disposition

The interim filing describes USD 672 million of semiconductor procurement under an agency arrangement. The product identity, customer consideration, commission and overlap with other revenue are undisclosed. The model carries the gross procurement and settlement exposures while the separately identifiable net fee is zero.

A 0-5% fee diagnostic represents USD 0-33.6 million before support and funding costs. The source does not establish those endpoints as contract terms. A separate increment will require a fee schedule, product identification and invoice reconciliation that isolates it from existing merchant or IP revenue.

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

35. Agency gross settlement and net fee

Units: USD millions unless labeled.

Calendar quarter	Gross purchases	Gross billings	Net fee revenue	Agency receivable	Agency payable
Q4 2026	0.000	0.000	0.000	0.000	0.000
Q1 2027	168.000	168.000	0.000	112.000	56.000
Q2 2027	168.000	168.000	0.000	110.769	55.385
Q3 2027	168.000	168.000	0.000	109.565	54.783
Q4 2027	168.000	168.000	0.000	109.565	54.783
Q1 2028	0.000	0.000	0.000	0.000	0.000
Q2 2028	0.000	0.000	0.000	0.000	0.000
Q3 2028	0.000	0.000	0.000	0.000	0.000
Q4 2028	0.000	0.000	0.000	0.000	0.000
Q1 2029	0.000	0.000	0.000	0.000	0.000
Q2 2029	0.000	0.000	0.000	0.000	0.000
Q3 2029	0.000	0.000	0.000	0.000	0.000
Q4 2029	0.000	0.000	0.000	0.000	0.000
Q1 2030	0.000	0.000	0.000	0.000	0.000
Q2 2030	0.000	0.000	0.000	0.000	0.000
Q3 2030	0.000	0.000	0.000	0.000	0.000
Q4 2030	0.000	0.000	0.000	0.000	0.000

36. Supplier advance and purchase commitments

The forecast pays the disclosed USD 200 million supplier advance in two USD 100 million installments during the first half of calendar 2027. It remains a separate asset until eligible purchases earn invoice credits. The selected credit timing rate is 10%, capped by outstanding principal.

A delivery delay moves credit timing and carries the balance forward. The base expenses any uncredited residue when the modeled 2029 capacity period ends; 100% invoice-credit and zero-credit cases test this unresolved contract feature. An advance credit reduces the related supplier cash payment once.

37. Supplier advance roll-forward

Units: USD millions unless labeled.

Calendar quarter	Opening advance	New advance	Invoice credits	Write-off	Closing advance
Q4 2026	0.000	0.000	0.000	0.000	0.000
Q1 2027	0.000	100.000	6.526	0.000	93.474
Q2 2027	93.474	100.000	15.245	0.000	178.228
Q3 2027	178.228	0.000	23.528	0.000	154.701
Q4 2027	154.701	0.000	33.794	0.000	120.907
Q1 2028	120.907	0.000	43.051	0.000	77.856
Q2 2028	77.856	0.000	22.906	0.000	54.949
Q3 2028	54.949	0.000	33.262	0.000	21.688
Q4 2028	21.688	0.000	19.927	0.000	1.760
Q1 2029	1.760	0.000	1.760	0.000	0.000
Q2 2029	0.000	0.000	0.000	0.000	0.000
Q3 2029	0.000	0.000	0.000	0.000	0.000
Q4 2029	0.000	0.000	0.000	0.000	0.000
Q1 2030	0.000	0.000	0.000	0.000	0.000
Q2 2030	0.000	0.000	0.000	0.000	0.000
Q3 2030	0.000	0.000	0.000	0.000	0.000
Q4 2030	0.000	0.000	0.000	0.000	0.000

38. DreamBig acquisition and IPRD

DreamBig's acquisition allocation includes USD 189 million of in-process research and development. It becomes amortizable when ready for its intended use. The selected readiness date is calendar Q2 2028, one quarter before reference generation-2 delivery, with half-quarter initial amortization over five years.

The acquisition cash payment and accelerated option settlement occurred before the forecast and remain in actuals. The validated cases test earlier or later readiness and continued IPR&D status. A processor shipment date does not itself establish the accounting completion date; impairment and useful-life uncertainty remain source limitations.

39. IPR&D and acquisition accounting

Units: USD millions unless labeled.

Item	Fact or selected treatment
DreamBig IPR&D	189
Acquisition cash	Historical 248.9; excluded from future repeat
Accelerated option settlement	Historical 7.8; excluded from future repeat
Readiness	Q2 2028 selected; source completion date unavailable
Life and initial fraction	20 quarters; one-half initial quarter
Tests	Early/late readiness and continued IPR&D

40. Quarterly revenue and product mix

The quarterly tables use the approved twelve-state model. Calendar labels identify all seventeen quarters from Q4 2026 through Q4 2030. Royalty subsegments are estimated internal allocations; total royalties and license revenue can be compared with the issuer's actual reported categories.

Units: USD millions.

41. Quarterly revenue composition

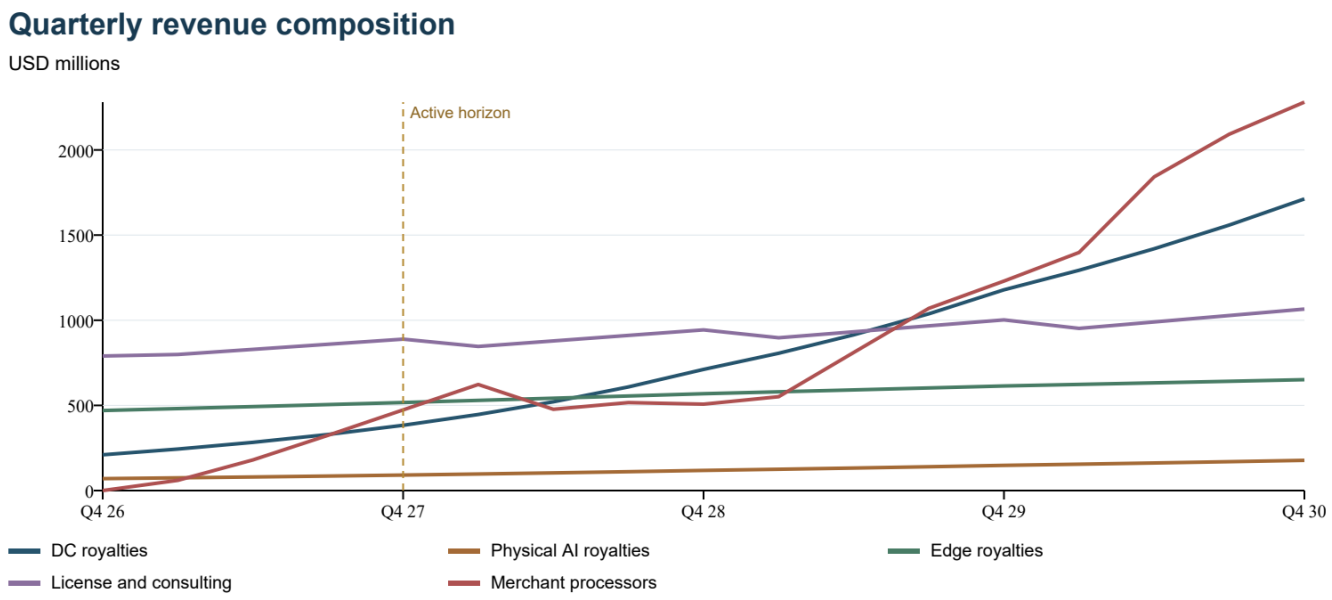


Figure 8. Quarterly revenue composition. Values and units are repeated in the table below.

Calendar quarter	DC royalties	Physical AI royalties	Edge royalties	License and consulting	Merchant processors
Q4 2026	210.000	70.000	470.000	790.000	0.000
Q1 2027	243.668	74.745	481.333	799.000	60.000
Q2 2027	283.059	79.812	492.940	829.000	180.000
Q3 2027	329.187	85.223	504.827	859.000	324.450
Q4 2027	383.250	91.000	517.000	889.000	473.625
Q1 2028	446.665	97.169	529.467	846.200	622.800
Q2 2028	521.108	103.756	542.234	878.600	477.225
Q3 2028	608.563	110.790	555.309	911.000	516.628
Q4 2028	711.375	118.300	568.700	943.400	507.319
Q1 2029	806.249	125.087	579.748	897.176	551.048
Q2 2029	914.438	132.263	591.010	932.168	810.978
Q3 2029	1,037.871	139.852	602.492	967.160	1,070.005
Q4 2029	1,178.756	147.875	614.196	1,002.152	1,230.000
Q1 2030	1,293.499	154.771	623.209	952.230	1,398.000
Q2 2030	1,419.852	161.989	632.353	990.021	1,842.000
Q3 2030	1,559.016	169.543	641.633	1,027.813	2,092.500
Q4 2030	1,712.320	177.450	651.048	1,065.604	2,280.750

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

42. Cash manufacturing costs and gross profit

Cash manufacturing costs follow the delivered packages' original inventory costs. The single company depreciation schedule is allocated across IP and merchant reference full-cost weights, removed from reference cash unit costs and added back once as actual D&A.

The gross-profit table includes ordinary compensation allocated to cost of revenue and any advance write-off. Program prices, original purchase costs, new inventory and accepted revenue remain separately visible.

43. Gross-profit reconciliation

Units: USD millions unless labeled.

Calendar quarter	Revenue	Cash COGS	COGS D&A	COGS employee costs	Advance write-off	Gross profit
Q4 2026	1,540.000	25.509	8.371	18.453	0.000	1,487.667
Q1 2027	1,658.747	65.680	8.963	18.356	0.000	1,565.748
Q2 2027	1,864.811	140.865	9.629	20.139	0.000	1,694.178
Q3 2027	2,102.686	233.311	10.346	14.290	0.000	1,844.739
Q4 2027	2,353.875	329.504	11.113	14.239	0.000	1,999.019
Q1 2028	2,542.301	424.272	11.917	9.574	0.000	2,096.538
Q2 2028	2,522.924	338.136	13.218	11.420	0.000	2,160.149
Q3 2028	2,702.290	356.010	13.345	9.937	0.000	2,322.998
Q4 2028	2,849.094	343.538	12.349	9.841	0.000	2,483.366
Q1 2029	2,959.307	343.114	13.053	7.184	0.000	2,595.956
Q2 2029	3,380.859	457.303	13.982	8.993	0.000	2,900.580
Q3 2029	3,817.379	583.139	14.937	10.764	0.000	3,208.539
Q4 2029	4,172.979	664.229	15.895	10.628	0.000	3,482.227
Q1 2030	4,421.709	748.732	16.857	10.493	0.000	3,645.627
Q2 2030	5,046.216	975.222	17.845	12.262	0.000	4,040.886
Q3 2030	5,490.505	1,108.265	18.857	13.985	0.000	4,349.397
Q4 2030	5,887.172	1,207.357	19.895	13.808	0.000	4,646.113

44. Operating expenses and GAAP profit

The current non-GAAP operating expense reference is split using the latest R&D and SG&A mix. Included D&A and operating lease expense are removed to seed cash budgets, then the explicit asset and lease schedules are added once. Cash R&D growth slows from 3% per quarter in 2027 to 1.5% in 2030; cash SG&A growth slows from 2% to 1.25%.

Incremental merchant application support is 6% of delivered merchant revenue, in addition to the selected fixed engineering budget. Its undisclosed overlap is tested with a zero-support case. Ordinary stock compensation, employer taxes and cash replacement for unavailable equity grants remain in the GAAP-style expense bridge.

45. Complete operating expense bridge

Units: USD millions unless labeled.

Calendar quarter	Cash R&D	Cash SG&A	Merchant support	Opex D&A	Lease expense	Employee/retention opex
Q4 2026	510.946	221.841	0.000	75.337	16.876	754.512
Q1 2027	526.274	226.277	3.600	80.663	17.850	750.569
Q2 2027	542.063	230.803	10.800	86.663	18.824	823.470
Q3 2027	558.325	235.419	19.467	93.112	19.798	584.317
Q4 2027	575.074	240.127	28.418	100.013	20.772	582.205
Q1 2028	589.451	244.330	37.368	107.250	21.746	391.457
Q2 2028	604.187	248.605	28.634	118.965	22.720	466.931
Q3 2028	619.292	252.956	30.998	120.105	23.694	406.294
Q4 2028	634.774	257.383	30.439	111.143	24.668	402.404
Q1 2029	647.470	261.243	33.063	117.480	25.642	293.750
Q2 2029	660.419	265.162	48.659	125.842	26.616	367.720
Q3 2029	673.628	269.139	64.200	134.430	27.590	440.116
Q4 2029	687.100	273.177	73.800	143.055	28.564	434.553
Q1 2030	697.407	276.591	83.880	151.718	29.538	429.060
Q2 2030	707.868	280.049	110.520	160.605	30.512	501.396
Q3 2030	718.486	283.549	125.550	169.718	31.486	571.821
Q4 2030	729.263	287.094	136.845	179.055	32.460	564.579

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

46. Ordinary compensation components

Units: USD millions unless labeled.

Calendar quarter	Stock compensation	Net employer expense	Cash retention	Retention payroll
Q4 2026	682.625	90.339	0.000	0.000
Q1 2027	678.585	90.339	0.000	0.000
Q2 2027	746.454	97.155	0.000	0.000
Q3 2027	533.145	65.462	0.000	0.000
Q4 2027	531.323	65.120	0.000	0.000
Q1 2028	359.194	41.836	0.000	0.000
Q2 2028	397.645	45.293	32.193	3.219
Q3 2028	313.429	32.880	63.566	6.357
Q4 2028	310.686	32.528	62.756	6.276
Q1 2029	213.350	19.432	61.956	6.196
Q2 2029	210.677	19.092	133.586	13.359
Q3 2029	208.038	19.124	203.381	20.338
Q4 2029	205.432	18.880	200.789	20.079
Q1 2030	202.859	18.639	198.231	19.823
Q2 2030	200.320	18.402	268.125	26.812
Q3 2030	197.812	18.167	336.205	33.621
Q4 2030	195.337	17.936	331.922	33.192

47. All-quarter operating table

Operating profit equals gross profit less R&D and SG&A. The table retains negative periods and the effects of finite award service schedules. Profit margins use the ratio of probability-weighted operating profit to probability-weighted revenue.

Units: USD millions.

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

48. Revenue and GAAP-style operating profit

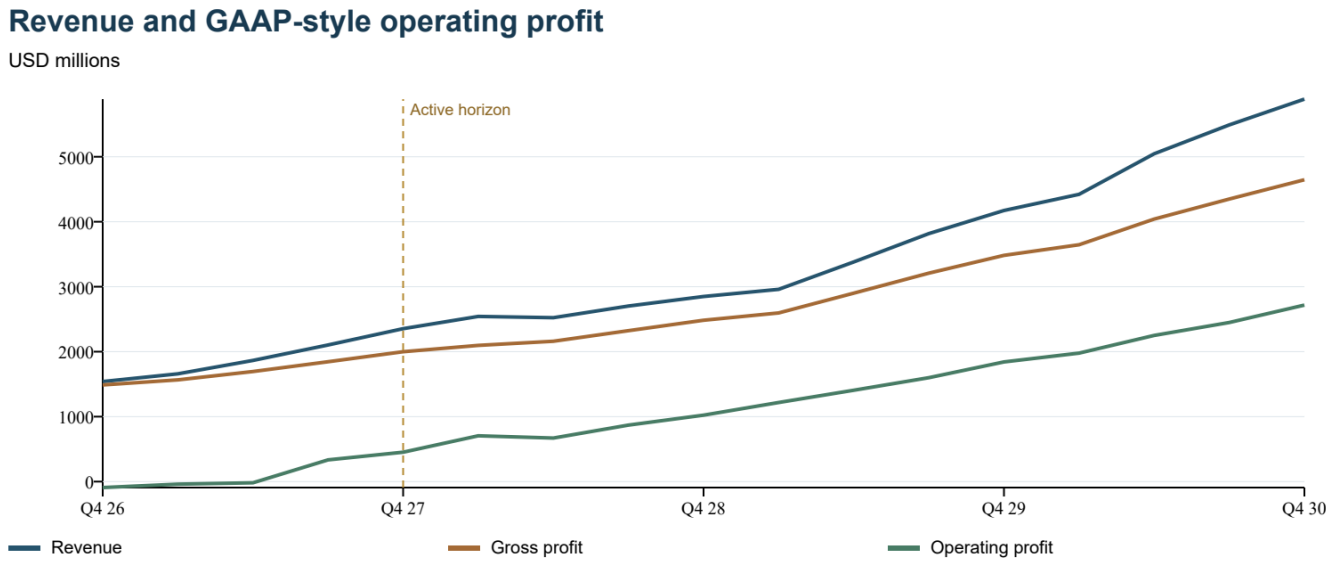


Figure 9. Revenue and GAAP-style operating profit. Values and units are repeated in the table below.

Calendar quarter	Revenue	Gross profit	Operating profit
Q4 2026	1,540.000	1,487.667	-91.845
Q1 2027	1,658.747	1,565.748	-39.485
Q2 2027	1,864.811	1,694.178	-18.444
Q3 2027	2,102.686	1,844.739	334.301
Q4 2027	2,353.875	1,999.019	452.411
Q1 2028	2,542.301	2,096.538	704.937
Q2 2028	2,522.924	2,160.149	670.107
Q3 2028	2,702.290	2,322.998	869.659
Q4 2028	2,849.094	2,483.366	1,022.555
Q1 2029	2,959.307	2,595.956	1,217.308
Q2 2029	3,380.859	2,900.580	1,406.161
Q3 2029	3,817.379	3,208.539	1,599.436
Q4 2029	4,172.979	3,482.227	1,841.979
Q1 2030	4,421.709	3,645.627	1,977.434
Q2 2030	5,046.216	4,040.886	2,249.936
Q3 2030	5,490.505	4,349.397	2,448.788
Q4 2030	5,887.172	4,646.113	2,716.818

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

49. All-quarter income statement

Units: USD millions unless labeled.

Calendar quarter	Revenue	Gross profit	R&D	SG&A	OP	OP margin %	Net income
Q4 2026	1,540.000	1,487.667	1,130.474	449.038	-91.845	-5.964	-125.957
Q1 2027	1,658.747	1,565.748	1,151.462	453.771	-39.485	-2.380	-74.220
Q2 2027	1,864.811	1,694.178	1,232.790	479.833	-18.444	-0.989	-85.030
Q3 2027	2,102.686	1,844.739	1,089.998	420.440	334.301	15.899	279.236
Q4 2027	2,353.875	1,999.019	1,120.312	426.297	452.411	19.220	383.050
Q1 2028	2,542.301	2,096.538	1,011.651	379.950	704.937	27.728	609.808
Q2 2028	2,522.924	2,160.149	1,082.304	407.738	670.107	26.561	599.492
Q3 2028	2,702.290	2,322.998	1,057.444	395.895	869.659	32.182	768.537
Q4 2028	2,849.094	2,483.366	1,063.354	397.457	1,022.555	35.891	932.045
Q1 2029	2,959.307	2,595.956	1,005.548	373.100	1,217.308	41.135	1,077.775
Q2 2029	3,380.859	2,900.580	1,095.045	399.373	1,406.161	41.592	1,249.717
Q3 2029	3,817.379	3,208.539	1,183.780	425.324	1,599.436	41.899	1,407.295
Q4 2029	4,172.979	3,482.227	1,210.303	429.945	1,841.979	44.141	1,620.487
Q1 2030	4,421.709	3,645.627	1,234.221	433.972	1,977.434	44.721	1,738.223
Q2 2030	5,046.216	4,040.886	1,331.497	459.453	2,249.936	44.587	1,950.186
Q3 2030	5,490.505	4,349.397	1,416.108	484.501	2,448.788	44.600	2,119.752
Q4 2030	5,887.172	4,646.113	1,440.967	488.328	2,716.818	46.148	2,347.871

50. Operating profit to net income

Units: USD millions unless labeled.

Calendar quarter	Operating profit	Net nonoperating income	Pretax	Book tax	Net income
Q4 2026	-91.845	26.924	-64.920	61.037	-125.957
Q1 2027	-39.485	28.649	-10.836	63.384	-74.220
Q2 2027	-18.444	29.861	11.417	96.447	-85.030
Q3 2027	334.301	31.856	366.158	86.921	279.236
Q4 2027	452.411	35.028	487.439	104.389	383.050
Q1 2028	704.937	39.466	744.403	134.595	609.808
Q2 2028	670.107	44.392	714.499	115.007	599.492
Q3 2028	869.659	50.779	920.439	151.901	768.537
Q4 2028	1,022.555	55.335	1,077.890	145.845	932.045
Q1 2029	1,217.308	60.687	1,277.994	200.219	1,077.775
Q2 2029	1,406.161	66.904	1,473.065	223.348	1,249.717
Q3 2029	1,599.436	75.518	1,674.953	267.658	1,407.295
Q4 2029	1,841.979	84.230	1,926.209	305.722	1,620.487
Q1 2030	1,977.434	92.860	2,070.294	332.071	1,738.223
Q2 2030	2,249.936	106.485	2,356.421	406.235	1,950.186
Q3 2030	2,448.788	121.499	2,570.287	450.535	2,119.752
Q4 2030	2,716.818	136.920	2,853.737	505.866	2,347.871

51. Employees, awards and closed share cohorts

The opening 23 million expected-to-vest ordinary awards are split into four estimated service cohorts. Remaining ordinary cost is USD 3,406.6 million, separated from the USD 20.2 million opening ESPP expense. The schedule derives service expense, gross vesting, forfeiture, cash withholding and legal issuance from the same cohorts.

Future annual requests are 11 million units at the fixed USD 212.03 reference. The current 11 million grant count covers six months and includes a special VCP award; prior fiscal-year grants were 14 million at USD 121.69. The selected 11 million annual assumption has fewer units and greater grant value than that prior year. Seasonality and future fair value remain uncertain. Separate validated cases request 14 million and 22 million future annual grants; they retain the same legal-authority and cash-replacement mechanics.

52. Closed award expense and vesting

Units: USD millions unless labeled.

Calendar quarter	Ordinary SBC	ESPP expense	Gross vested value	Withholding accrued at vest	Employer cash
Q4 2026	670.505	12.120	0.000	0.000	0.000
Q1 2027	670.505	8.080	0.000	0.000	0.000
Q2 2027	742.925	3.529	1,219.172	365.752	121.917
Q3 2027	529.616	3.529	0.000	0.000	0.000
Q4 2027	527.794	3.529	1,219.172	365.752	121.917
Q1 2028	355.665	3.529	0.000	0.000	0.000
Q2 2028	394.116	3.529	1,769.561	530.868	176.956
Q3 2028	309.900	3.529	135.844	40.753	13.584
Q4 2028	307.157	3.529	1,353.285	405.986	135.329
Q1 2029	209.821	3.529	132.404	39.721	13.240
Q2 2029	207.148	3.529	436.439	130.932	43.644
Q3 2029	204.508	3.529	204.508	61.352	20.451
Q4 2029	201.902	3.529	201.902	60.571	20.190
Q1 2030	199.330	3.529	199.330	59.799	19.933
Q2 2030	196.790	3.529	196.790	59.037	19.679
Q3 2030	194.283	3.529	194.283	58.285	19.428
Q4 2030	191.807	3.529	191.807	57.542	19.181

53. Grant cadence source and selection

The current 6-month grant count includes a special VCP. Annual cadence and grant values are not recognized service expense.

Units: Million shares; USD per share; USD millions.

Period	Units M	Reference USD	Value USD M
FY2026 actual grants	14.000	121.690	1,703.660
Current six months actual grants	11.000	212.030	2,332.330
Selected future annual requests	11.000	212.030	2,332.330

54. Award cohort assumptions

Units: USD millions; shares millions; rates as labeled.

Input	Selected value
Opening four pools	5.75M units and 851.65M service cost each; 3/5/7/9 remaining quarters
Future grant mix	75% RSU /25% PSU; expected PSU 1x /max reserve 2x
Future grant service	16 quarters; midpoint grant; 25% first anniversary then quarterly
Future forfeiture	5% total assumed
Employee withholding	30% at212.03 fixed price; one-quarter cash lag
Employer gross tax	10% of vest value; related R&D credit 3/51
Compensation allocation	2.3873% COGS /70.8223% R&D /26.7905% SG&A

55. Plan reserve, expiry and retention

New ordinary grants can use the finite common plan reserve through the September 2028 plan cutoff. Maximum PSU reservation uses two times target while expected expense uses the selected expected payout. Existing awards continue vesting after the cutoff.

Unfunded or expired new equity requests become cash retention compensation over the matching service period. A renewed-plan sensitivity permits equity settlement subject to authority. The separate ESPP runs through September 2034 and uses the same available reserve; no future governance approval is assumed.

The opening 18 million available-unit assumption is a capital-headroom proxy from rounded authorization of 1,111 million less 1,070 million issued and 23 million reserved. The actual remaining plan balance is undisclosed. The model adds 13.821271 million units in each of the 2027 and 2028 April cycles subject to the selected limits.

Units: Million ordinary-equivalent units.

56. Plan capacity and cash replacement

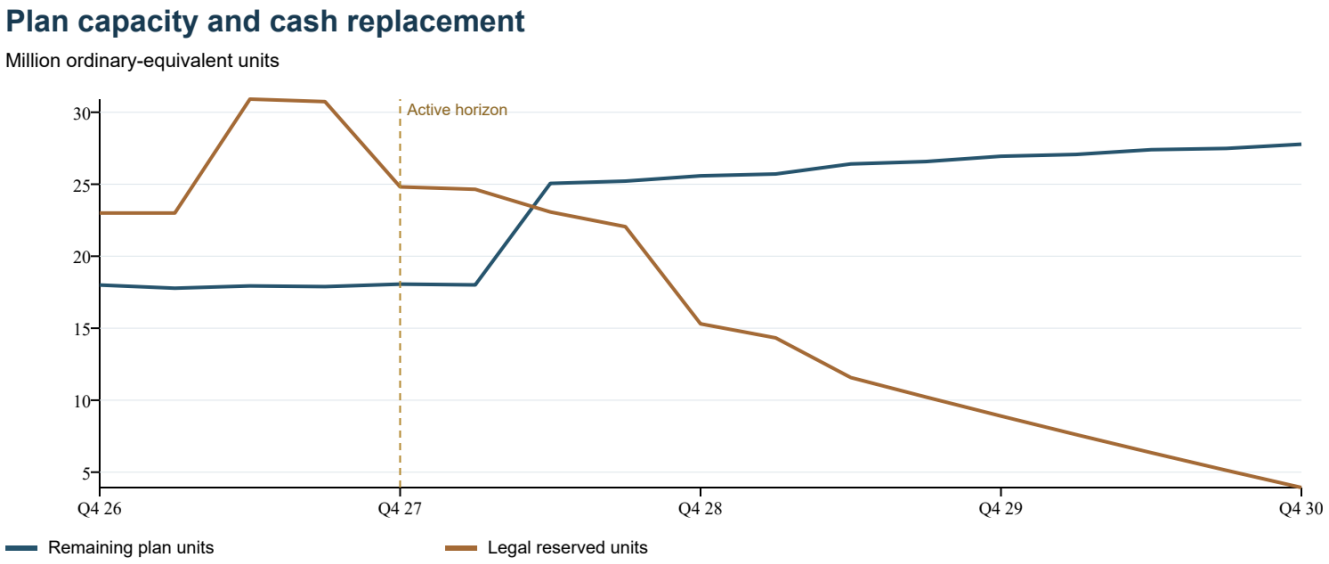


Figure 10. Plan capacity and cash replacement. Values and units are repeated in the table below.

Calendar quarter	Remaining plan units	Legal reserved units
Q4 2026	18.000	23.000
Q1 2027	17.778	23.000
Q2 2027	17.937	30.912
Q3 2027	17.889	30.738
Q4 2027	18.061	24.816
Q1 2028	18.009	24.647
Q2 2028	25.058	23.073
Q3 2028	25.217	22.052
Q4 2028	25.583	15.303
Q1 2029	25.712	14.328
Q2 2029	26.409	11.572
Q3 2029	26.576	10.219
Q4 2029	26.944	8.898
Q1 2030	27.070	7.610
Q2 2030	27.399	6.353
Q3 2030	27.487	5.127
Q4 2030	27.779	3.930

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

57. Authority and replacement costs

Units: Million units for plan columns; USD millions for costs.

Calendar quarter	Plan remaining	Reserved	Legal excess	Cash retention	Retention payroll
Q4 2026	18.000	23.000	0.000	0.000	0.000
Q1 2027	17.778	23.000	0.000	0.000	0.000
Q2 2027	17.937	30.912	0.000	0.000	0.000
Q3 2027	17.889	30.738	0.000	0.000	0.000
Q4 2027	18.061	24.816	0.000	0.000	0.000
Q1 2028	18.009	24.647	0.000	0.000	0.000
Q2 2028	25.058	23.073	0.000	32.193	3.219
Q3 2028	25.217	22.052	0.000	63.566	6.357
Q4 2028	25.583	15.303	0.000	62.756	6.276
Q1 2029	25.712	14.328	0.000	61.956	6.196
Q2 2029	26.409	11.572	0.000	133.586	13.359
Q3 2029	26.576	10.219	0.000	203.381	20.338
Q4 2029	26.944	8.898	0.000	200.789	20.079
Q1 2030	27.070	7.610	0.000	198.231	19.823
Q2 2030	27.399	6.353	0.000	268.125	26.812
Q3 2030	27.487	5.127	0.000	336.205	33.621
Q4 2030	27.779	3.930	0.000	331.922	33.192

58. ESPP and payroll settlement

Opening ESPP service expense is USD 12.12 million in Q4 2026 and USD 8.08 million in Q1 2027. Later accepted purchase discounts are recognized half in the preceding quarter and half in the purchase quarter. The first offering uses USD 8 million of opening employee contributions plus USD 32 million of new cash.

The model preserves a context-only Q1 2031 offering to supply its Q4 2030 service expense. Its later cash and shares remain outside the displayed forecast. Ordinary opening payroll is USD 167 million; the USD 185 million employee/employer payroll-tax pool and the USD 8 million ESPP contribution are separate liabilities.

59. ESPP accepted purchases and service

Units: Units millions; cash and expense USD millions.

Calendar quarter	Issued units M	New cash	Refunded funding	Discount expense	Employee tax remitted
Q4 2026	0.000	0.000	0.000	12.120	50.000
Q1 2027	0.222	32.000	0.000	8.080	50.000
Q2 2027	0.000	0.000	0.000	3.529	0.000
Q3 2027	0.222	40.000	0.000	3.529	365.752
Q4 2027	0.000	0.000	0.000	3.529	0.000
Q1 2028	0.222	40.000	0.000	3.529	365.752
Q2 2028	0.000	0.000	0.000	3.529	0.000
Q3 2028	0.222	40.000	0.000	3.529	530.868
Q4 2028	0.000	0.000	0.000	3.529	40.753
Q1 2029	0.222	40.000	0.000	3.529	405.986
Q2 2029	0.000	0.000	0.000	3.529	39.721
Q3 2029	0.222	40.000	0.000	3.529	130.932
Q4 2029	0.000	0.000	0.000	3.529	61.352
Q1 2030	0.222	40.000	0.000	3.529	60.571
Q2 2030	0.000	0.000	0.000	3.529	59.799
Q3 2030	0.222	40.000	0.000	3.529	59.037
Q4 2030	0.000	0.000	0.000	3.529	58.285

60. Employee and employer tax cash settlement

The opening employee and employer liabilities pay 50 and 42.5 respectively in each of the first two quarters. New employee withholding pays one quarter after vesting; employer cohort tax pays at vesting.

Units: USD millions unless labeled.

Calendar quarter	Employee remitted	Employer paid	Withholding newly accrued
Q4 2026	50.000	42.500	0.000
Q1 2027	50.000	42.500	0.000
Q2 2027	0.000	121.917	365.752
Q3 2027	365.752	0.000	0.000
Q4 2027	0.000	121.917	365.752
Q1 2028	365.752	0.000	0.000
Q2 2028	0.000	176.956	530.868
Q3 2028	530.868	13.584	40.753
Q4 2028	40.753	135.329	405.986
Q1 2029	405.986	13.240	39.721
Q2 2029	39.721	43.644	130.932
Q3 2029	130.932	20.451	61.352
Q4 2029	61.352	20.190	60.571
Q1 2030	60.571	19.933	59.799
Q2 2030	59.799	19.679	59.037
Q3 2030	59.037	19.428	58.285
Q4 2030	58.285	19.181	57.542

61. Total diluted ordinary-equivalent claims

One ADS represents one ordinary share. The denominator includes total diluted ordinary-equivalent claims, including the controlling shareholder's holdings. The source rounds legal ordinary shares to 1,070 million; the latest reported diluted weighted average is 1,079 million.

The forecast follows legal shares, net award issuance and the treasury-stock effect of unvested awards and remaining service cost. USD 212.03 is a fixed grant and dilution reference; the dated market observation is USD 191.80. The forecast grants no buybacks or ordinary dividends.

Units: Million ordinary-equivalent shares.

62. Legal and economic diluted shares

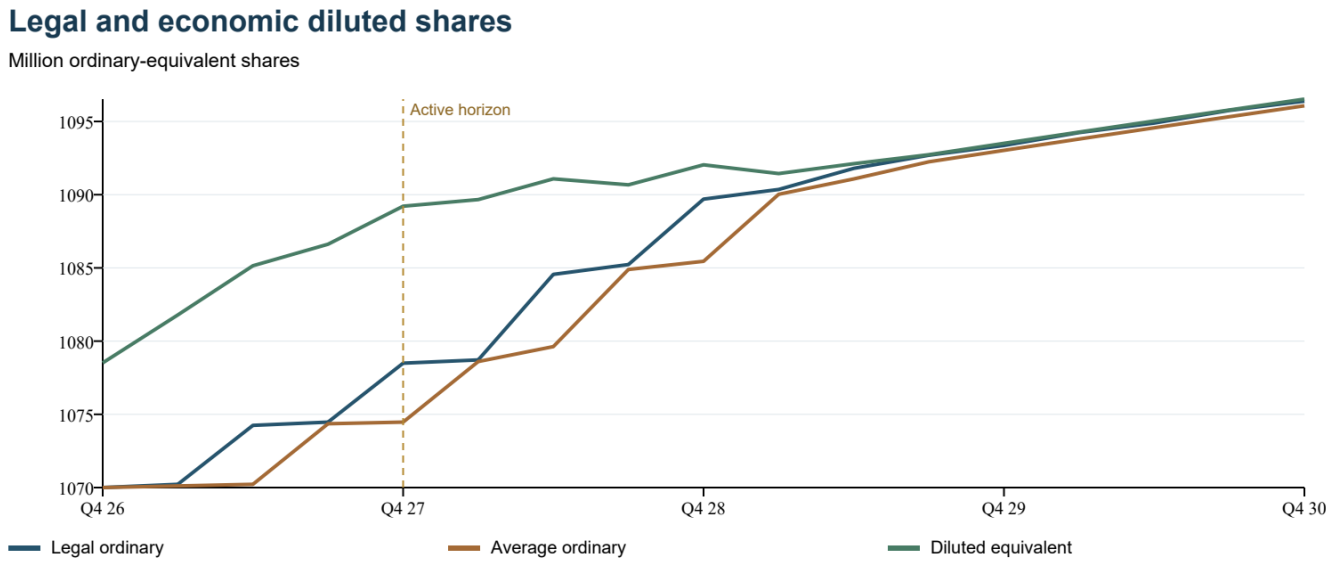


Figure 11. Legal and economic diluted shares. Values and units are repeated in the table below.

Calendar quarter	Legal ordinary	Average ordinary	Diluted equivalent
Q4 2026	1,070.000	1,070.000	1,078.515
Q1 2027	1,070.222	1,070.111	1,081.788
Q2 2027	1,074.247	1,070.222	1,085.147
Q3 2027	1,074.469	1,074.358	1,086.617
Q4 2027	1,078.494	1,074.469	1,089.212
Q1 2028	1,078.716	1,078.605	1,089.665
Q2 2028	1,084.558	1,079.624	1,091.082
Q3 2028	1,085.228	1,084.893	1,090.672
Q4 2028	1,089.696	1,085.450	1,092.038
Q1 2029	1,090.355	1,090.026	1,091.441
Q2 2029	1,091.796	1,091.076	1,092.115
Q3 2029	1,092.693	1,092.245	1,092.730
Q4 2029	1,093.360	1,093.026	1,093.506
Q1 2030	1,094.240	1,093.800	1,094.273
Q2 2030	1,094.889	1,094.565	1,095.032
Q3 2030	1,095.753	1,095.321	1,095.782
Q4 2030	1,096.386	1,096.069	1,096.525

63. Foreign withholding and recurring tax

Fiscal 2026 book tax of USD 253 million comprised USD 238 million current tax and USD 15 million deferred tax. Gross foreign withholding expense was USD 195 million and foreign-tax-credit benefit was USD 62 million. The cash-tax table reports USD 223 million, with timing that differs from expense.

The forecast uses the historical gross-withholding ratio on IP revenue and a 9.7666% net recurring IP profit-tax proxy. Its USD 113 million residual includes modeled effects of tax incentives and recurring

jurisdictional adjustments. Merchant profit uses a separate 20% proxy. The undisclosed segment/jurisdiction profit allocation remains a material sensitivity.

64. Fiscal 2026 tax source bridge

The 113 residual is divided by1157 to form the IP proxy. It is a modeling allocation with included incentives.

Units: USD millions unless labeled.

Measure	USD millions
Pretax total	1,157.000
UK /foreign pretax	828 /329
Book tax	253.000
Current tax	238.000
Deferred tax	15.000
Cash paid	223.000
Gross withholding	195.000
Foreign-tax-credit benefit	-62.000
Selected recurring residual profit tax	113.000

65. Book and cash tax reconciliation

Foreign tax credits are limited by eligible withholding and positive local book/current tax capacity. Unused credits receive no automatic deferred-tax asset or refund. Gross withholding may remain payable during a loss period.

The ordinary RSU/PSU timing assumption applies to 50% of service cost and actual vest deductions. Recognized deferred-tax movements are tracked by cohort and tested for realization. ESPP uses its discount/service expense with matched deduction timing; full employee share value and contribution cash receive no additional deduction. The USD 59 million annual SBC rate-reconciliation benefit and USD 48.2 million vested-award disclosure are overlapping views that remain separate.

66. Book, current and cash tax

Units: USD millions unless labeled.

Calendar quarter	Pretax	Book tax	Current expense	Cash income tax	Cash withholding	Closing payable
Q4 2026	-64.920	61.037	87.439	114.000	0.000	87.439
Q1 2027	-10.836	63.384	95.463	26.402	61.037	95.463
Q2 2027	11.417	96.447	66.776	32.098	63.365	66.776
Q3 2027	366.158	86.921	115.014	0.000	66.776	115.014
Q4 2027	487.439	104.389	77.524	44.535	70.479	77.524
Q1 2028	744.403	134.595	154.222	3.002	74.522	154.222
Q2 2028	714.499	115.007	82.155	78.144	76.078	82.155
Q3 2028	920.439	151.901	167.051	1.076	81.080	167.051
Q4 2028	1,077.890	145.845	122.966	80.424	86.627	122.966
Q1 2029	1,277.994	200.219	208.847	30.152	92.814	208.847
Q2 2029	1,473.065	223.348	228.312	113.397	95.449	228.312
Q3 2029	1,674.953	267.658	273.932	126.457	101.855	273.932
Q4 2029	1,926.209	305.722	310.401	165.042	108.890	310.401
Q1 2030	2,070.294	332.071	335.164	193.759	116.642	335.164
Q2 2030	2,356.421	406.235	408.506	215.322	119.842	408.506
Q3 2030	2,570.287	450.535	450.282	281.510	126.996	450.282
Q4 2030	2,853.737	505.866	502.292	315.605	134.677	502.292

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

67. Limited credits and deferred tax

Units: USD millions unless labeled.

Calendar quarter	Gross withholding	Credit generated	Credit used	Unused credit	SBC DTA	Net DTA
Q4 2026	61.037	19.407	0.000	19.407	46.043	366.402
Q1 2027	63.365	20.147	0.379	19.768	78.123	398.482
Q2 2027	66.776	21.231	0.000	21.231	48.452	368.811
Q3 2027	70.479	22.409	22.401	0.007	76.544	396.903
Q4 2027	74.522	23.694	12.430	11.264	49.679	370.039
Q1 2028	76.078	24.189	24.189	0.000	69.306	389.666
Q2 2028	81.080	25.779	5.740	20.039	36.454	356.814
Q3 2028	86.627	27.543	27.543	0.000	51.604	371.963
Q4 2028	92.814	29.510	29.451	0.059	28.725	349.084
Q1 2029	95.449	30.348	30.348	0.000	37.352	357.712
Q2 2029	101.855	32.385	32.385	0.000	42.317	362.676
Q3 2029	108.890	34.621	34.621	0.000	48.590	368.950
Q4 2029	116.642	37.086	37.086	0.000	53.270	373.629
Q1 2030	119.842	38.104	38.104	0.000	56.362	376.722
Q2 2030	126.996	40.378	40.378	0.000	58.633	378.992
Q3 2030	134.677	42.820	42.820	0.000	58.380	378.739
Q4 2030	142.937	45.447	45.447	0.000	54.806	375.165

68. Working capital and recognition

IP contract assets become invoices through dated billing cohorts; invoicing creates no new revenue. Receivables then collect under the calibrated 77.078-day invoice-pace assumption with exact calendar-quarter days. Opening and new customer advances release within the recognized revenue stream.

Merchant receivables, purchased inventory and supplier payables use their own timing. The agency arrangement tracks gross customer receivables and supplier payables even with zero net fee. Cash-paid supplier advances remain outside payable financing.

69. Operating receivables and contract balances

Units: USD millions unless labeled.

Calendar quarter	IP AR	Merchant AR	Unbilled	Contract liabilities	Merchant AP	R&D credit AR
Q4 2026	1,059.432	0.000	1,676.717	924.194	0.000	136.213
Q1 2027	1,107.631	30.000	1,908.904	950.017	29.367	143.744
Q2 2027	1,335.309	89.011	1,919.220	954.795	67.851	153.056
Q3 2027	1,364.553	158.698	1,945.036	937.598	103.574	155.572
Q4 2027	1,469.806	231.664	1,884.361	861.245	148.767	158.189
Q1 2028	1,548.682	307.978	1,785.817	776.518	191.601	158.803
Q2 2028	1,653.098	235.990	1,688.731	694.345	101.945	161.483
Q3 2028	1,731.343	252.698	1,615.230	614.651	146.423	163.267
Q4 2028	1,768.853	248.145	1,651.459	537.363	138.692	166.580
Q1 2029	1,885.013	275.524	1,662.751	452.657	135.758	168.682
Q2 2029	1,998.520	401.033	1,675.619	370.710	252.664	171.354
Q3 2029	2,102.770	523.372	1,713.958	291.441	286.436	173.855
Q4 2029	2,335.744	601.630	1,753.085	299.769	305.174	177.225
Q1 2030	2,478.295	699.000	1,765.281	300.087	353.703	180.375
Q2 2030	2,601.065	910.879	1,779.177	303.385	501.226	183.272
Q3 2030	2,710.600	1,023.505	1,820.584	309.574	533.391	185.924
Q4 2030	2,882.925	1,115.584	1,862.842	318.569	574.617	188.617

70. PPE, intangible and lease stocks

PPE, finite-lived intangibles, finance leases and operating leases each have a stock-flow schedule. Opening ordinary intangible amortization stops when its asset pool is exhausted. New asset lives and commissioning fractions are selected estimates.

The finance-lease opening liability is reconstructed at USD 36 million from the annual liability and current principal cash. Its selected cash vector repays USD 20 million of principal within twelve months and differs by USD 0.513 million from the older rounded FY2029 maturity source. Operating lease expense, cash payments, interest and ROU amortization are reconciled separately.

71. Capital and intangible assets

Units: USD millions unless labeled.

Calendar quarter	PPE cash	PPE net	New intangibles cash	Intangible net	Depreciation	Amortization
Q4 2026	100.000	990.250	5.000	363.792	57.500	26.208
Q1 2027	120.000	1,054.000	5.000	342.167	63.000	26.625
Q2 2027	130.000	1,121.500	5.000	320.125	69.250	27.042
Q3 2027	140.000	1,192.250	5.000	297.667	76.000	27.458
Q4 2027	150.000	1,265.750	5.000	274.792	83.250	27.875
Q1 2028	155.000	1,336.625	5.000	251.500	90.875	28.292
Q2 2028	160.000	1,404.625	5.000	223.067	98.750	33.433
Q3 2028	165.000	1,469.500	5.000	201.492	106.875	26.575
Q4 2028	170.000	1,531.000	5.000	193.500	110.500	12.992
Q1 2029	175.000	1,588.875	5.000	185.092	117.125	13.408
Q2 2029	180.000	1,642.875	5.000	176.267	126.000	13.825
Q3 2029	185.000	1,692.750	5.000	167.025	135.125	14.242
Q4 2029	190.000	1,738.250	5.000	157.575	144.500	14.450
Q1 2030	195.000	1,779.125	5.000	148.125	154.125	14.450
Q2 2030	200.000	1,815.125	5.000	138.675	164.000	14.450
Q3 2030	205.000	1,846.000	5.000	129.225	174.125	14.450
Q4 2030	210.000	1,871.500	5.000	119.775	184.500	14.450

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

72. Operating lease roll-forward

Units: USD millions unless labeled.

Calendar quarter	Opening liability	New leases	Interest	Cash	Closing liability	Closing ROU
Q4 2026	480.000	31.500	5.398	14.376	502.522	440.022
Q1 2027	502.522	31.500	5.521	15.350	524.193	459.193
Q2 2027	524.193	31.500	5.815	17.991	543.518	477.685
Q3 2027	543.518	31.500	6.090	18.965	562.143	495.476
Q4 2027	562.143	31.500	6.293	19.939	579.997	512.497
Q1 2028	579.997	31.500	6.416	20.912	597.001	528.668
Q2 2028	597.001	31.500	6.600	22.164	612.936	544.048
Q3 2028	612.936	31.500	6.846	23.138	628.144	558.699
Q4 2028	628.144	31.500	7.011	24.112	642.543	572.543
Q1 2029	642.543	31.500	7.012	25.086	655.969	585.413
Q2 2029	655.969	31.500	7.235	24.671	670.032	597.532
Q3 2029	670.032	31.500	7.467	25.645	683.354	608.910
Q4 2029	683.354	31.500	7.612	26.619	695.847	619.458
Q1 2030	695.847	31.500	7.580	27.593	707.334	629.000
Q2 2030	707.334	31.500	7.788	27.456	719.166	637.777
Q3 2030	719.166	31.500	8.002	28.430	730.238	645.793
Q4 2030	730.238	31.500	8.123	29.404	740.456	652.956

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

73. Finite finance lease

Units: USD millions unless labeled.

Calendar quarter	Opening	Principal	Interest	Closing
Q4 2026	36.000	1.044	0.456	34.956
Q1 2027	34.956	1.057	0.443	33.899
Q2 2027	33.899	8.893	0.430	25.006
Q3 2027	25.006	9.006	0.317	16.000
Q4 2027	16.000	0.974	0.203	15.026
Q1 2028	15.026	0.987	0.190	14.039
Q2 2028	14.039	3.444	0.178	10.595
Q3 2028	10.595	3.487	0.134	7.108
Q4 2028	7.108	3.532	0.090	3.576
Q1 2029	3.576	3.576	0.045	0.000
Q2 2029	0.000	0.000	0.000	0.000
Q3 2029	0.000	0.000	0.000	0.000
Q4 2029	0.000	0.000	0.000	0.000
Q1 2030	0.000	0.000	0.000	0.000
Q2 2030	0.000	0.000	0.000	0.000
Q3 2030	0.000	0.000	0.000	0.000
Q4 2030	0.000	0.000	0.000	0.000

74. Cash flow and funding

Issuer-comparable free cash flow equals operating cash flow less cash PPE, new intangible purchases and payments of legacy intangible obligations. The report also shows FCF after supplier advances. Agency settlement timing and employee withholding remain in their applicable cash-flow categories.

The opening cash balance is USD 3,251 million plus USD 370 million of short-term investments. Equity investments are excluded from available liquidity. Each state pays its obligations through cash and those finite short-term investments; new borrowing and speculative equity financing are zero.

Units: USD millions.

75. Cash conversion

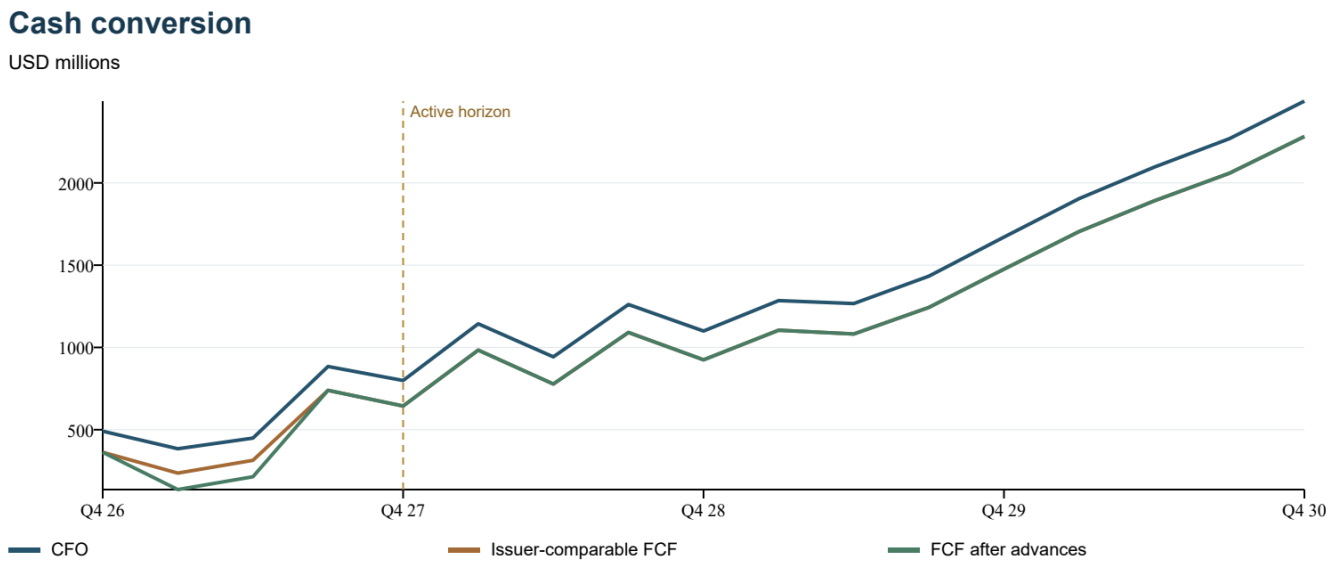


Figure 12. Cash conversion. Values and units are repeated in the table below.

Calendar quarter	CFO	Issuer-comparable FCF	FCF after advances
Q4 2026	490.865	362.865	362.865
Q1 2027	384.126	236.126	136.126
Q2 2027	448.814	313.814	213.814
Q3 2027	884.102	739.102	739.102
Q4 2027	798.928	643.928	643.928
Q1 2028	1,143.591	983.591	983.591
Q2 2028	942.638	777.638	777.638
Q3 2028	1,260.930	1,090.930	1,090.930
Q4 2028	1,099.608	924.608	924.608
Q1 2029	1,284.579	1,104.579	1,104.579
Q2 2029	1,266.599	1,081.599	1,081.599
Q3 2029	1,433.070	1,243.070	1,243.070
Q4 2029	1,670.533	1,475.533	1,475.533
Q1 2030	1,904.248	1,704.248	1,704.248
Q2 2030	2,095.622	1,890.622	1,890.622
Q3 2030	2,268.395	2,058.395	2,058.395
Q4 2030	2,496.929	2,281.929	2,281.929

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

76. Complete cash movement

Units: USD millions unless labeled.

Calendar quarter	Opening cash	CFO	CFI	CFF	Closing cash
Q4 2026	3,251.000	490.865	-105.000	-74.044	3,562.821
Q1 2027	3,562.821	384.126	-225.000	-42.057	3,679.890
Q2 2027	3,679.890	448.814	-235.000	-8.893	3,884.811
Q3 2027	3,884.811	884.102	-145.000	-334.758	4,289.155
Q4 2027	4,289.155	798.928	-155.000	-0.974	4,932.109
Q1 2028	4,932.109	1,143.591	-160.000	-326.738	5,588.962
Q2 2028	5,588.962	942.638	-165.000	-3.444	6,363.156
Q3 2028	6,363.156	1,260.930	-170.000	-494.356	6,959.730
Q4 2028	6,959.730	1,099.608	-175.000	-44.285	7,840.054
Q1 2029	7,840.054	1,284.579	-180.000	-369.562	8,575.071
Q2 2029	8,575.071	1,266.599	-185.000	-39.721	9,616.949
Q3 2029	9,616.949	1,433.070	-190.000	-90.932	10,769.087
Q4 2029	10,769.087	1,670.533	-195.000	-61.352	12,183.268
Q1 2030	12,183.268	1,904.248	-200.000	-20.571	13,866.945
Q2 2030	13,866.945	2,095.622	-205.000	-59.799	15,697.769
Q3 2030	15,697.769	2,268.395	-210.000	-19.037	17,737.126
Q4 2030	17,737.126	2,496.929	-215.000	-58.285	19,960.771

77. FCF and advance cash

Units: USD millions unless labeled.

Calendar quarter	CFO	PPE cash	New intangible cash	Legacy intangible payments	Issuer-comparable FCF	FCF after advances
Q4 2026	490.865	100.000	5.000	23.000	362.865	362.865
Q1 2027	384.126	120.000	5.000	23.000	236.126	136.126
Q2 2027	448.814	130.000	5.000	0.000	313.814	213.814
Q3 2027	884.102	140.000	5.000	0.000	739.102	739.102
Q4 2027	798.928	150.000	5.000	0.000	643.928	643.928
Q1 2028	1,143.591	155.000	5.000	0.000	983.591	983.591
Q2 2028	942.638	160.000	5.000	0.000	777.638	777.638
Q3 2028	1,260.930	165.000	5.000	0.000	1,090.930	1,090.930
Q4 2028	1,099.608	170.000	5.000	0.000	924.608	924.608
Q1 2029	1,284.579	175.000	5.000	0.000	1,104.579	1,104.579
Q2 2029	1,266.599	180.000	5.000	0.000	1,081.599	1,081.599
Q3 2029	1,433.070	185.000	5.000	0.000	1,243.070	1,243.070
Q4 2029	1,670.533	190.000	5.000	0.000	1,475.533	1,475.533
Q1 2030	1,904.248	195.000	5.000	0.000	1,704.248	1,704.248
Q2 2030	2,095.622	200.000	5.000	0.000	1,890.622	1,890.622
Q3 2030	2,268.395	205.000	5.000	0.000	2,058.395	2,058.395
Q4 2030	2,496.929	210.000	5.000	0.000	2,281.929	2,281.929

78. Conditional financing and obligations

The selected liquidity floor is USD 750 million. A floor breach and an unpaid obligation are reported separately. The base forecast has no unfunded obligations. Severe investment sensitivity demonstrates how an unfinanced path can fail even when the source business grows.

The cash model preserves ordinary compensation after legal equity authority expires. It also retains withholding, tax, lease, vendor and advance payments. These obligations prevent a mechanical improvement in cash from an omitted expense or expired share plan.

79. Funding and obligation checks

Units: USD millions unless labeled.

Calendar quarter	Cash	Short-term investments	Reserve shortfall	Unpaid obligations	Peak unpaid
Q4 2026	3,562.821	370.000	0.000	0.000	0.000
Q1 2027	3,679.890	370.000	0.000	0.000	0.000
Q2 2027	3,884.811	370.000	0.000	0.000	0.000
Q3 2027	4,289.155	370.000	0.000	0.000	0.000
Q4 2027	4,932.109	370.000	0.000	0.000	0.000
Q1 2028	5,588.962	370.000	0.000	0.000	0.000
Q2 2028	6,363.156	370.000	0.000	0.000	0.000
Q3 2028	6,959.730	370.000	0.000	0.000	0.000
Q4 2028	7,840.054	370.000	0.000	0.000	0.000
Q1 2029	8,575.071	370.000	0.000	0.000	0.000
Q2 2029	9,616.949	370.000	0.000	0.000	0.000
Q3 2029	10,769.087	370.000	0.000	0.000	0.000
Q4 2029	12,183.268	370.000	0.000	0.000	0.000
Q1 2030	13,866.945	370.000	0.000	0.000	0.000
Q2 2030	15,697.769	370.000	0.000	0.000	0.000
Q3 2030	17,737.126	370.000	0.000	0.000	0.000
Q4 2030	19,960.771	370.000	0.000	0.000	0.000

80. Rule 16b numerical contribution ledger

The numerical ledger uses paired complete states. Data-center royalty continuation is compared with the lower growth path while merchant conditions are held constant. Merchant delivery risk compares delayed/disrupted states with the matching on-time branch. Far expansion compares the high path with its plateau under the same near-term and royalty state.

These are conditional attribution views with shared effects. Their rows overlap through common costs, cash, tax and dilution and should be read separately. The ledger preserves periods, probabilities, reference scopes, conditional outcomes and probability-weighted revenue and OP changes.

81. Rule 16b paired contributions - Calendar 2027

Units: USD millions unless labeled.

Signal	Probability %	Conditional revenue change	Conditional OP change	Weighted revenue change	Weighted OP change
DC royalty continuation	65.000	230.661	225.787	149.929	146.762
Merchant timing and disruption	40.000	-654.812	-250.658	-261.925	-100.263
Far merchant expansion	40.000	0.000	0.000	0.000	0.000

82. Reference scope and conditional outcomes - Calendar 2027

Units: USD millions unless labeled.

Signal	Reference R	Reference OP	Conditional R	Conditional OP	OP change range
DC royalty continuation	7,830.190	582.021	8,060.851	807.808	225.787 to 225.787
Merchant timing and disruption	8,242.044	829.046	7,587.232	578.388	-354.900 to -215.911
Far merchant expansion	8,094.063	771.594	8,094.063	771.594	0.000 to 0.000

83. Rule 16b paired contributions - Active Q4 2027-Q3 2028

Units: USD millions unless labeled.

Signal	Probability %	Conditional revenue change	Conditional OP change	Weighted revenue change	Weighted OP change
DC royalty continuation	65.000	743.438	727.661	483.235	472.980
Merchant timing and disruption	40.000	-274.305	-173.316	-109.722	-69.327
Far merchant expansion	40.000	0.000	0.000	0.000	0.000

84. Reference scope and conditional outcomes - Active Q4 2027-Q3 2028

Units: USD millions unless labeled.

Signal	Reference R	Reference OP	Conditional R	Conditional OP	OP change range
DC royalty continuation	9,638.154	2,224.135	10,381.592	2,951.796	727.661 to 727.661
Merchant timing and disruption	10,231.111	2,766.441	9,956.806	2,593.125	-280.512 to -137.584
Far merchant expansion	10,174.038	2,728.472	10,174.038	2,728.472	0.000 to 0.000

85. Rule 16b paired contributions - Calendar 2030

Units: USD millions unless labeled.

Signal	Probability %	Conditional revenue change	Conditional OP change	Weighted revenue change	Weighted OP change
DC royalty continuation	65.000	4,685.578	4,583.793	3,045.626	2,979.466
Merchant timing and disruption	40.000	-841.875	-370.654	-336.750	-148.262
Far merchant expansion	40.000	6,001.875	2,672.909	2,400.750	1,069.163

Model amounts: USD millions; shares: millions. Physical counts: individual units; calculated prices: USD/share.

86. Reference scope and conditional outcomes - Calendar 2030

Units: USD millions unless labeled.

Signal	Reference R	Reference OP	Conditional R	Conditional OP	OP change range
DC royalty continuation	17,799.976	6,413.510	22,485.554	10,997.303	4,583.793 to 4,583.793
Merchant timing and disruption	20,169.852	9,090.346	19,327.977	8,719.692	-2,532.442 to 26.018
Far merchant expansion	18,480.477	8,339.001	24,482.352	11,011.910	702.038 to 3,005.943

87. Signal lineage and counters

Units: USD millions unless labeled.

Signal / source date	Scope and probability	Counter
DC royalty continuation; November 4, 2026 call	Replaces lower DC royalty growth inside total royalties. No separate v9/CSS/share multiplier. 65% continuation; 35% lower path.	Royalty growth or chip reporting below continuation path.
Merchant timing and disruption; July/November 2026 calls	Compared with matching on-time branch under the same far/royalty state; procurement and support effects remain in OP. 40% combined delay/disruption; far probability remains conditional on near state.	Customer acceptance, procurement cost or first shipments miss schedule.
Far merchant expansion; March 30 briefing; November 4 call	Same merchant invoice stream; replaces plateau from calendar Q2 2030. 40% unconditional after 60/30/10 near state and 50/30/10 conditional expansion.	Fiscal 2031 scale-up, economics or customer acceptance fail to support the high branch.

88. Quarterly ceilings and exact earnings windows

Each complete valuation window includes the starting calendar quarter and the next three quarters. The model applies 25 times GAAP-style operating profit to each state's own starting-quarter diluted claims and then weights the state ceilings. Cash and debt remain in financial analysis without a separate valuation adjustment.

The Q4 2027 active window ends in Q3 2028. The last complete starting window is Q1 2030. All later quarterly operating values remain visible even though a full four-quarter valuation window is unavailable.

89. Calculated ceilings

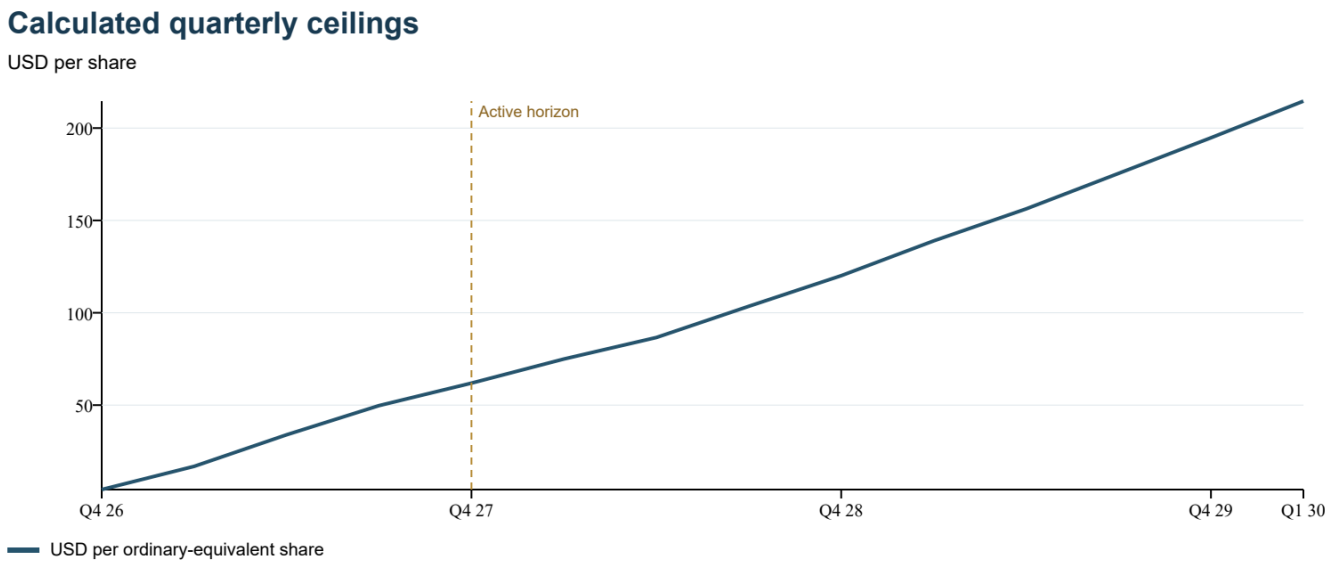


Figure 13. Calculated ceilings use complete four-quarter operating windows and each state's starting diluted shares.

90. Complete valuation derivation

The full derivation retains each window's operating profit, multiple, starting share denominator and calculated ceiling. The active twelve-state table makes the final weighting traceable. Ratios of independently averaged numerators and denominators can differ from the correct weighted state values.

91. All complete valuation windows

Units: OP USD millions; shares millions; per-share USD.

Start	Four-quarter OP	Multiple	Expected starting diluted shares	Calculated ceiling USD
Q4 2026	184.527	25.000	1,078.515	4.277
Q1 2027	728.783	25.000	1,081.788	16.842
Q2 2027	1,473.205	25.000	1,085.147	33.940
Q3 2027	2,161.757	25.000	1,086.617	49.736
Q4 2027	2,697.115	25.000	1,089.212	61.905
Q1 2028	3,267.259	25.000	1,089.665	74.960
Q2 2028	3,779.630	25.000	1,091.082	86.603
Q3 2028	4,515.684	25.000	1,090.672	103.507
Q4 2028	5,245.460	25.000	1,092.038	120.084
Q1 2029	6,064.884	25.000	1,091.441	138.919
Q2 2029	6,825.010	25.000	1,092.115	156.234
Q3 2029	7,668.785	25.000	1,092.730	175.450
Q4 2029	8,518.137	25.000	1,093.506	194.744
Q1 2030	9,392.976	25.000	1,094.273	214.594

92. Exact earnings windows

Units: USD millions unless labeled.

Start	Four included quarters
Q4 2026	Q4 2026 + Q1 2027 + Q2 2027 + Q3 2027
Q1 2027	Q1 2027 + Q2 2027 + Q3 2027 + Q4 2027
Q2 2027	Q2 2027 + Q3 2027 + Q4 2027 + Q1 2028
Q3 2027	Q3 2027 + Q4 2027 + Q1 2028 + Q2 2028
Q4 2027	Q4 2027 + Q1 2028 + Q2 2028 + Q3 2028
Q1 2028	Q1 2028 + Q2 2028 + Q3 2028 + Q4 2028
Q2 2028	Q2 2028 + Q3 2028 + Q4 2028 + Q1 2029
Q3 2028	Q3 2028 + Q4 2028 + Q1 2029 + Q2 2029
Q4 2028	Q4 2028 + Q1 2029 + Q2 2029 + Q3 2029
Q1 2029	Q1 2029 + Q2 2029 + Q3 2029 + Q4 2029
Q2 2029	Q2 2029 + Q3 2029 + Q4 2029 + Q1 2030
Q3 2029	Q3 2029 + Q4 2029 + Q1 2030 + Q2 2030
Q4 2029	Q4 2029 + Q1 2030 + Q2 2030 + Q3 2030
Q1 2030	Q1 2030 + Q2 2030 + Q3 2030 + Q4 2030

93. Active state-first derivation

Units: OP USD millions; shares millions; per-share USD.

State	Weight %	F4 OP	Starting shares	State ceiling
on time plateau management continuation	19.500	3,021.123	1,089.212	69.342
on time plateau lower	10.500	2,293.462	1,089.212	52.640
on time far high management continuation	19.500	3,021.123	1,089.212	69.342
on time far high lower	10.500	2,293.462	1,089.212	52.640
one quarter late plateau management continuation	13.650	2,883.538	1,089.212	66.184
one quarter late plateau lower	7.350	2,155.877	1,089.212	49.482
one quarter late far high management continuation	5.850	2,883.538	1,089.212	66.184
one quarter late far high lower	3.150	2,155.877	1,089.212	49.482
disrupted plateau management continuation	5.850	2,740.610	1,089.212	62.903
disrupted plateau lower	3.150	2,012.950	1,089.212	46.202
disrupted far high management continuation	0.650	2,740.610	1,089.212	62.903
disrupted far high lower	0.350	2,012.950	1,089.212	46.202

94. Annual trajectory and management goals

Fiscal years end in March. The model labels each calendar quarter explicitly and compares management's near-term merchant references on the corresponding fiscal periods. The fiscal 2031 aspiration includes January-March 2031, beyond the final operating quarter shown here.

Management's longer-term adjusted operating-margin and EPS ambitions use a different expense presentation from this report's GAAP-style OP. The source exhibit retains those labels and dates; the current ceiling comes from the selected operating and compensation model.

95. Calendar-year financial trajectory

Units: USD millions unless labeled.

Year	Revenue	Gross profit	OP	Net income	FCF
2027	7,980.119	7,103.684	728.783	503.037	1,932.970
2028	10,616.608	9,063.051	3,267.259	2,909.882	3,776.767
2029	14,330.524	12,187.303	6,064.884	5,355.275	4,904.781
2030	20,845.602	16,682.023	9,392.976	8,156.031	7,935.194

96. Complete modeled fiscal years

Units: USD millions unless labeled.

Fiscal year ending March	Merchant revenue	IP revenue	GAAP-style OP
FY2028	1,600.875	7,262.799	1,473.205
FY2029	2,052.220	8,981.395	3,779.630
FY2030	4,508.983	11,283.943	6,825.010

97. Source exhibit: FY31 source aspiration



Figure 14. Management briefing, March 30, 2026. Fiscal 2031 goals and adjusted measures retain their original scope. Fiscal 2031 ends March 2031. Source: https://group.softbank/media/Project/sbg/sbg/pdf/ir/presentations/2025/arm 20260330_en.pdf

98. Sensitivities and financial feasibility

Thirty financial sensitivity cases test price, units, capacity, input costs, support, IPR&D readiness, agency economics, cash collection, advance credits, compensation, tax and liquidity. The twelve base states separately contain the selected royalty and merchant alternatives. Each case preserves its defined reporting perimeter.

The shortfall-fee cases add no charge while all modeled minimum procurement is purchased into inventory. The 20-times-capex case is financially infeasible and carries unpaid obligations. Its values are excluded from the selected valuation.

99. Thirty validated financial sensitivities

Units: USD millions unless labeled.

Case	CY2027 OP	CY2027 FCF	CY2030 OP	Minimum liquidity	Unpaid maximum
Merchant ASP -20%	533.625	1,790.532	7,961.685	3,932.821	0.000
Merchant units -25%	641.394	1,867.059	8,541.955	3,932.821	0.000
Delivery capacity -25%	691.519	1,911.160	9,383.138	3,932.821	0.000
Merchant cash unit cost +25%	572.689	1,796.966	8,454.921	3,932.821	0.000
Capex x20 - INFEASIBLE	-629.717	-8,394.556	201.726	0.000	39,118.404
Advance invoice credit 0%	728.783	1,870.029	9,392.976	3,932.821	0.000
Advance invoice credit 100%	728.783	2,072.505	9,392.976	3,932.821	0.000
Agency net fee 5%	762.383	1,956.262	9,392.976	3,932.821	0.000
Foreign-tax-credit relief 0%	728.783	1,910.184	9,392.976	3,932.821	0.000
Vesting price +25%	649.263	1,879.563	9,374.689	3,932.821	0.000
New grant fair value +25%	639.637	1,934.754	8,885.440	3,932.821	0.000
Annual grants 13.75M	631.332	1,935.098	8,865.880	3,932.821	0.000
Opening legal reserve x1.25	728.477	1,884.518	9,392.273	3,932.821	0.000
Renewed plan; existing pool	728.783	1,932.970	9,395.544	3,932.821	0.000
Collections +92 days	728.783	751.419	9,392.976	2,243.283	0.000
Annual grants 14M	622.473	1,935.292	8,817.962	3,932.821	0.000
Annual grants 22M	337.255	1,664.453	7,284.607	3,932.821	0.000
Unpurchased minimum fee 50%	728.783	1,932.970	9,392.976	3,932.821	0.000
Unpurchased minimum fee 100%	728.783	1,932.970	9,392.976	3,932.821	0.000
Incremental merchant support 0%	791.067	1,993.439	9,849.771	3,932.821	0.000
IPR&D ready Q4 2026	690.983	1,935.018	9,392.976	3,932.821	0.000
IPR&D ready Q4 2028	728.783	1,932.970	9,392.976	3,932.821	0.000
IPR&D remains unready	728.783	1,932.970	9,430.776	3,932.821	0.000
Opening award service 1 year	1,158.292	1,950.437	9,393.399	3,571.593	0.000
Opening award service 2 years	1,021.630	2,037.502	9,392.552	3,932.821	0.000
Other DTA allowance 50%	728.783	1,932.970	9,392.976	3,932.821	0.000
Other DTA allowance 100%	728.783	1,932.970	9,392.976	3,932.821	0.000
New SBC DTA realization 0%	728.783	1,932.970	9,392.976	3,932.821	0.000
Foreign-tax-credit eligibility 50%	728.783	1,942.684	9,392.976	3,932.821	0.000
Foreign-tax-credit eligibility 100%	728.783	1,943.388	9,392.976	3,932.821	0.000

100. Cross-book and competition watch

QCOM provides a direct cross-book watchpoint through architecture licensing and custom/server processors. AMD and Intel compete for server workloads; AVGO and MRVL compete in custom compute and connectivity. Foundry, packaging, memory and optical capacity can constrain shared customer budgets.

Arm's direct processor sales can deepen engagement and create licensee conflicts. Monitoring should distinguish an architectural design win, an IP contract, a complete processor sale and an OEM system deployment. A customer spending shift can help one holding while changing another's economics.

101. Triggers and disconfirming evidence

The key near-term tests are accepted commercial processor shipments, conversion of the stated cumulative demand into revenue, supplier delivery cost and the first customer system deployments. Inventory aging, advance credits and cash collections test whether the commercial ramp is converting into cash.

The royalty case needs shipped-chip volume and realized royalty mix to support the data-center path. Future award grants, service cost, legal reserve and withholding must be reconciled to source disclosures. The agency fee becomes separately measurable only when its consideration and product scope are identifiable.

102. Sources, completeness and method appendix

The newest July and November calls were read in full, including Q&A. Official interim and annual extracts were retained through supported primary-site retrievals; some original PDF downloads returned access errors and the newest oversized presentation could not be parsed. Source extracts and original-byte files are identified separately.

The current report preserves dated original engineering exhibits. It does not describe source aspirations as completed deliveries. Earlier published forecast values and their original rolling ceilings remain in immutable history; the current report presents the selected model in a clean current view.

103. Primary source register

Units: Source dates and URLs as labeled.

Source	URL / exact identity
q2 letter	https://investors.arm.com/static-files/0b5baa2e-fc47-4d05-b724-e49de7bd4356
q2 interim html	https://investors.arm.com/node/8511/html
q2 interim pdf	https://investors.arm.com/static-files/40086194-bf58-435e-96ff-b7a8180687ff
q2 deck	https://investors.arm.com/static-files/09d542eb-980d-42c8-8965-ed4f9d83aa28
q1 letter	https://investors.arm.com/static-files/d8db20bd-7b96-486a-b99b-23315627d1ec
q1 call	https://investors.arm.com/static-files/2ef5e3bf-f276-4a46-a4a2-2aadccd6710b
annual 20f	https://www.sec.gov/Archives/edgar/data/1973239/000197323926000097/arm-20260331.htm
annual mirror	https://investors.arm.com/node/8281/html